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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

JAPAN

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

AUGUST 1969

BASIC STATISTICS OF JAPAN

THE COUNTRY

Area (1 000 sq. km.)	370.0
Cultivated agricultural land (1 000 sq. km. 1968)	59.0
Forest (1 000 sq. km. 1965)	244.9
Densely inhabited districts[1] (1 000 sq. km. 1965)	4.6

Major cities, March 1969 estimates (1 000 inhabitants)	
Tokyo (Ku area only)	8 986
Osaka	3 056
Yokohama	2 078
Nagoya	2 001
Kyoto	1 414

THE PEOPLE

Population, Oct. 1968 estimate (1 000)	101 410
Number of persons per sq. km. in 1968	274
Percentage of population living in densely inhabited districts[1] in 1965	48.1
Net annual rate of population increase (per 1 000 inhabitants, 1963-67)	10.8
Labour force in per cent of total population, 1968	50.0
Percentage distribution of employed persons:	
Agriculture, forestry and fishery	19.7
Manufacturing and construction	33.5
Others	46.8

PRODUCTION

Gross national product in 1968 (billion yen)	51 092
Growth of real GNP, 1963-68 average (annual rate, per cent)	11.0
Gross fixed investment in 1968 (in per cent of GNP)	34.0
Growth of real fixed investment 1963-68 average (annual rate, per cent)	14.1
Gross value of agricultural production in 1968 (billion yen)	4 257
Growth of production in manufacturing (per man-day) 1963-1968 averages, annual rate, per cent	11.8

THE GOVERNMENT

Public consumption in 1968 (in per cent of GNP)	8.4
Public works in 1968 (in per cent of GNP)	8.5
Current public revenue in 1968 (in per cent of GNP)	20.1
Government employees in per cent of total employment in 1968	3.1
Outstanding long term central government bonds in per cent of current revenue (FY 1968)	50.3

LIVING STANDARDS

Gross national product per capita in 1968 (US dollars)	1 400
Growth of real GNP per capita 1966-68 (annual rate, per cent)	12.3
Average monthly cash earning of regular male manufacturing workers in establishments of more than 30 employees, 1968 (US dollars)	180
Number of persons per 100 dwellings in 1965	408
Number of hospital beds per 1 000 inhabitants in 1968	10
Number of passenger cars per 1 000 inhabitants in March 1967	48
Number of telephones per 1 000 inhabitants in Oct. 1968	107
Number of TV sets (black and white) per 1 000 inhabitants in Oct. 1968	206

FOREIGN TRADE AND PAYMENTS

(1968 million US dollars)	
Commodity exports f.o.b	12 751
Commodity imports f.o.b	10 222
Services, net	—1 306
Transfers, net	— 177
Current balance	1 048
Long-term capital	— 239
Basic balance	809
Exports of goods and services in per cent of GNP	10.8
Imports of goods and services in per cent of GNP	10.0

Percentage distribution:	*Exports*	*Imports*
to/from OECD Countries	49.6	49.2
of which		
North America	34.2	32.2
Far East Asia	27.9	15.3
Others	22.5	35.5
Grude materials and fuels (SITC 2,3)	2.1	57.7
Semi-manufactured goods (5, 6,)	41.1	15.3
Machinery (7,)	38.0	9.4
Others (0, 1, 4, 8, 9)	18.8	17.6

CURRENCY UNIT

Currency unit: 1 yen = 0.00278 US dollar

1 Areas whose population density exceeds 4 000 persons per sq. km.

OECD ECONOMIC SURVEYS

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JAPAN

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are : Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Japan
by the OECD Economic and Development
Review Committee took place on 26th June 1969.

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INTRODUCTION

The performance of the Japanese economy has remained very impressive during the past 18 months. The business upswing has continued virtually unabated, outstripping in duration and strength any of its post-war predecessors. Japan has become the world's third biggest industrial nation next to the United States and the USSR and ranks fifth in the list of world trading countries. The current external surplus, after 3½ years of fast growth of activity, is running at record levels and, although it is expected to diminish over the year ahead, seems likely to remain substantial. The long-term capital account has also improved. Official reserves surpassed the $3 billion mark in early 1969, after fluctuating around $2 billion for about 7 years.

The radical change of Japan's external position sets a promising new frame for future developments, but will also pose new problems. Relieved for the foreseeable future from the necessity to protect the country's low level of reserves and to submit the economy every two or three years to a "recession" or cooling-off period, the problem of maintaining cost and price stability over time and of avoiding the building up of excess capacity may require greater attention than hitherto. In the likely absence of important balance of payments constraints, the enforcement of quick policy adjustments may become more difficult and the reaction of business slower. Moreover, with the attainment of a more adequate level of external reserves, Japan is, for the first time in her history, experiencing the problems of surplus countries trying to avoid undue strains on international liquidity. It is to be hoped that the Japanese authorities will take advantage of the present favourable economic situation to remove the remaining import restrictions and obstacles to capital exports. Certain steps in this direction have already been taken in the period under review.

The present Survey analyses in Part I the factors and the developments which have led to the remarkable combination of sustained business upswing and vigorous strengthening of the external position. Part II considers the contribution of economic policy to the external adjustment and the recent attitudes towards further liberalization of trade and payments. Short-term prospects are examined in Part III. The final section of the Survey discusses policy issues and presents certain conclusions that can be drawn from the analysis.

I CONTINUED BOOM AND EXTERNAL SURPLUS

As pointed out in last year's Survey of Japan, the earlier part of the present business upswing followed roughly the pattern well known from previous experience. Once the boom had been firmly established in the middle of 1966, the balance of payments began to deteriorate steadily, prompting the authorities to resort to restrictive measures in the summer of 1967. After the usual delay of several months, economic activity started levelling off, with the balance of payments improving sharply. But in contrast to previous adjustment periods, the weakening of the boom proved short-lived. The economy resumed a vigorous upward trend in the second quarter of 1968, entering its fourth consecutive year of rapid expansion in late 1968. Last year's growth of real GNP outpaced the 13 per cent rate registered in 1967 and a further increase of 10 to 12 per cent may be expected for 1969. In spite of sustained boom conditions, the spectacular improvement of the balance of payments has, of late, continued with both the current and the basic balances yielding record surpluses in the first six months of 1969. Official foreign exchange reserves rose sharply from the previous low-point of $1.9 billion in April 1968, and in February exceeded the $3 billion mark. Even with some deterioration in the second half of 1969, the current surplus for the year as a whole may exceed considerably $2 billion.

Table 1 **Overall Trends**

	1966	1967	1968[1]	1969
	Per cent increases			*Secretariat estimates*
GNP volume	10.0	12.9	14.4	10–12½
GNP price deflator	4.5	4.3	3.7	4–4½
Industrial production	13.2	19.4	17.7	15–16½
Imports, cif	16.6	22.5	11.4	11–13
Exports, fob	15.7	6.8	24.3	20–22
	US $ *million*			*US $ billion*
Current balance	1 252	—190	1 048	2¼
Total non-monetary transactions	337	—571	1 102	1 (Jan-June)
Official reserves, end of period	2 074	2 005	2 891	3 (June)

1 Provisional results.
Sources : National Statistics.

The favourable combination of continued rapid growth and a stronger external surplus is particularly striking if viewed against the gloomy expectations widely held in late 1967 and early 1968. It was generally felt at that

time that with both the current and the long-term capital account in heavy deficit and a strong underlying investment boom, the situation was particularly difficult to manage, with the position complicated by the corrective balance of payments measures taken by the reserve currency countries. Another reason for concern was that in 1967, for the first time in twenty years, Japanese exporters had failed to gain market shares abroad. The question whether the subsequent unexpected strengthening of Japan's external position reflects short-term business trends at home and abroad rather than more fundamental changes deserves careful study.

Elimination of external deficit

The external imbalance had assumed disquieting proportions during 1967. In the fourth quarter of that year, after first measures of restraint had already been taken, the basic deficit was running at a seasonally adjusted annual rate of $1.6 billion, almost equal to the level of official reserves. The current balance had shifted from a seasonally adjusted surplus of $1 280 million (annual rate) in the third quarter of 1966 to a deficit of $700 million in the fourth quarter of 1967, while the net outflow of long-term capital had continued virtually unchanged at the same rate. It was only through a sizeable inflow of short-term, non-monetary capital in 1967 and a sharp deterioration of the commercial banks' net foreign exchange position that the level of official reserves had been more or less kept intact.

A radical change of Japan's external position has taken place since the beginning of 1968. Within four months, the basic balance swung back into surplus, outstripping in the second quarter the previous peaks attained during the recessionary periods of 1962 and 1965. The tendency towards a growing surplus has continued until recently. In the first five months of 1969, the combined surplus on current and long-term capital transactions was running at a seasonally adjusted annual rate of $2.8 billion. The improvement of the current account was mainly due to changes in the trade balance, but also to the fact that the traditional deficit on invisibles stopped rising. The rate of growth of merchandise exports accelerated from some 11 per cent in the twelve months up to May 1968 (compared with a year earlier) to almost 26 per cent for the year June 1968-May 1969. Over the same periods, the expansion of imports (cif) slowed down from 19 to 9 per cent.

The discontinuation of the former net outflow of long-term capital was largely due to a sizeable increase of purchases of Japanese securities by foreigners, higher issues of Japanese bonds abroad and substantial direct borrowing from abroad ("impact loans"). The inflow of short-term non-monetary capital continued until recently. Official foreign reserves (including the IMF position) stood at the end of May at $3.1 billion, marking an

Table 2 **Trends in Foreign Trade and Payments**
US $ million

	1966				1967				1968				1969	
	I	II	III	IV	I	II	III	IV	I	II	III	IV	I	II
Seasonally adjusted :														
Exports, fob	2 329	2 335	2 419	2 553	2 492	2 517	2 580	2 628	2 835	3 137	3 222	3 470	3 672	3 823
Imports, fob	1 697	1 783	1 886	2 004	2 073	2 230	2 331	2 441	2 444	2 459	2 603	2 683	2 717	2 762
Trade balance	632	552	533	549	419	287	249	187	391	678	619	787	955	1 061
Current balance[1]	346	295	320	284	93	—57	—64	—180	—22	323	278	415	529	679
Not seasonally adjusted :														
Trade balance	370	449	691	765	152	171	450	387	118	546	845	1 020	612	926
Services and transfers	—286	—257	—213	—265	—326	—344	—313	—367	—413	—355	—341	—372	—426	—382
Current blance	84	192	478	500	—174	—173	137	20	—295	191	504	648	186	544
Long-term capital	—155	—129	—217	—307	—182	—182	—223	—225	—110	—18	7	—118	45	86
Basic balance	—71	63	261	193	—356	—355	—86	—205	—405	173	511	530	231	630
Short-term capital and unrecorded	65	—7	—26	—141	72	149	102	108	158	48	30	57	47	7
Balance on non-monetary transactions	—6	56	235	52	—284	—206	16	—97	—247	221	541	587	278	637
Commercial banks' net position	—8	65	309	23	—301	—185	62	—87	—207	212	165	68	—41	729
Balance on official settlements	2	—9	—74	29	17	—21	—46	—10	—40	9	376	519	319	—94

1 Seasonal adjustments apply to merchandise trade only.
Source : The Bank of Japan.

increase of $1.1 billion compared with a year earlier. The commercial banks' net foreign position also showed an improvement of $0.6 billion over the year ending April 1969, partly reflecting the start of the recent "Yen shift"[1].

Specific features of the adjustment process

(a) *The domestic picture*

As already mentioned, the policy-induced slowing down of the business upswing was short-lived. The measures of restraint taken between the summer of 1967 and early 1968 had not worked themselves through when a new export-led period of rapid expansion set in. Important leading investment indicators, such as new private domestic orders for machinery and construction, had shown a marked downward tendency between November 1967 and March 1968 (see Diagram 1), but the level of outstanding orders kept rising and the inflow of orders started swelling again before the effect of the earlier contraction could be felt on actual investment spending and dampen the underlying expansionary forces of the economy. Between the fourth quarters of 1967 and 1968,—a period of rapid balance of payments improvement and, for the most part, of tighter monetary conditions—the rates of growth of GNP, of final domestic demand and of total expenditure (both in current and at constant prices) outstripped the rates recorded during the preceding phase of balance of payments deterioration. The expansion of industrial production slowed down temporarily to a seasonally adjusted annual rate of 8 per cent in the first quarter of 1968, but returned to a rate of almost 20 per cent during the remainder of the year.

During the recent period of balance of payments deterioration and recovery, Table 3[2] indicates that government spending on goods and services and private consumption accelerated in the latter phase. Private productive investment activity slowed down but, advancing at an annual rate of more than 25 per cent, remained impressively strong. During the two previous balance of payments recovery periods, private expenditure on plant and equipment had receded. Another salient feature of the latest external adjustment process was that the contribution of stockbuilding to the expansion of GNP remained positive, with the average quarterly accumulation of inventories exceeding (in terms of GNP) the high rate of stock formation during the preceding period of balance of payments deterioration. Earlier adjustment periods had seen sharp drops of stock building.

1 See page 34.

2 The table covers three full balance of payments cycles. Six sub-periods are distinguished according to the turning points of the current balance of payments (seasonally adjusted). The terminal quarters of each sub-period are respectively the peak deficit and peak surplus positions of each cycle.

Table 3 **Changes in Components of Demand at Current Prices**

Seasonally adjusted, annual rates

	From peak of external surplus to peak of external deficit						From peak of external deficit to peak of external surplus					
	per cent change			contribution to change of GNP			per cent change			contribution to change of GNP		
	1960 II-1961 III	1962 III-1964 I	1966 I-1967 IV	1960 II-1961 III	1962 III-1964 I	1966 I-1967 IV	1961 III-1962 III	1964 I-1965 III	1967 IV-1968 IV	1961 III-1962 III	1964 I-1965 III	1967 IV-1968 IV
Private consumption	14.5	17.3	14.0	8.4	9.6	7.9	16.2	13.6	15.1	8.6	7.5	8.0
Government consumption	15.4	16.5	12.9	1.4	1.5	1.1	16.6	15.8	14.7	1.4	1.4	1.3
Gross fixed capital formation	37.8	15.7	15.4	11.2	5.3	7.6	9.8	4.8	24.8	3.3	1.6	8.2
Private residential	24.6	30.8	26.6	1.0	1.4	1.5	19.4	20.5	30.8	0.8	1.1	2.0
Other private	44.5	13.2	32.1	8.1	2.6	4.8	—0.9	—1.2	26.7	—0.2	—0.2	4.8
Government	28.4	13.9	13.5	2.1	1.3	1.3	34.5	7.6	16.3	2.7	0.7	1.4
Stocks[1]	(5.7)	(3.3)	(4.3)	4.6	3.4	3.3	(4.1)	(2.7)	(4.6)	—5.5	—1.1	1.8
Private[1]	(5.6)	(3.4)	(3.6)	4.8	3.7	2.5	(4.2)	(2.4)	(3.9)	—5.6	—1.4	0.5
Government[1]	(0.1)	(—0.1)	(0.7)	—0.2	—0.3	0.8	(—0.1)	(0.3)	(0.7)	0.1	0.3	1.3
Exports	5.1	11.0	9.2	0.6	1.1	1.1	19.1	26.0	30.6	1.8	2.4	3.0
Imports	32.1	28.0	22.0	—3.5	—2.8	—2.2	—9.3	3.4	11.7	1.2	—0.4	—1.2
GNP	22.8	18.1	18.8	22.8	18.1	18.8	10.8	11.4	21.1	10.8	11.4	21.1
External balance[2]	(—572.5)	(—572.6)	(—759.6)	—2.9	—1.7	—1.1	(569.3)	(913.2)	(843.9)	3.0	2.0	1.8
Domestic expenditure	25.9	19.9	20.2	25.7	19.8	19.9	7.6	9.2	19.2	7.8	9.4	19.3
—excluding stock formation	21.9	16.7	17.5	21.1	16.4	16.6	14.0	10.9	18.4	13.3	10.5	17.5

1 Figures in brackets show the accumulation of stocks during the indicated periods in per cent of average GNP.
2 Figures in brackets show absolute changes in billion yen.

Source : Annual Report on National Income Statistics Economic Planning Agency (EPA).

(b) *The balance on goods and services*

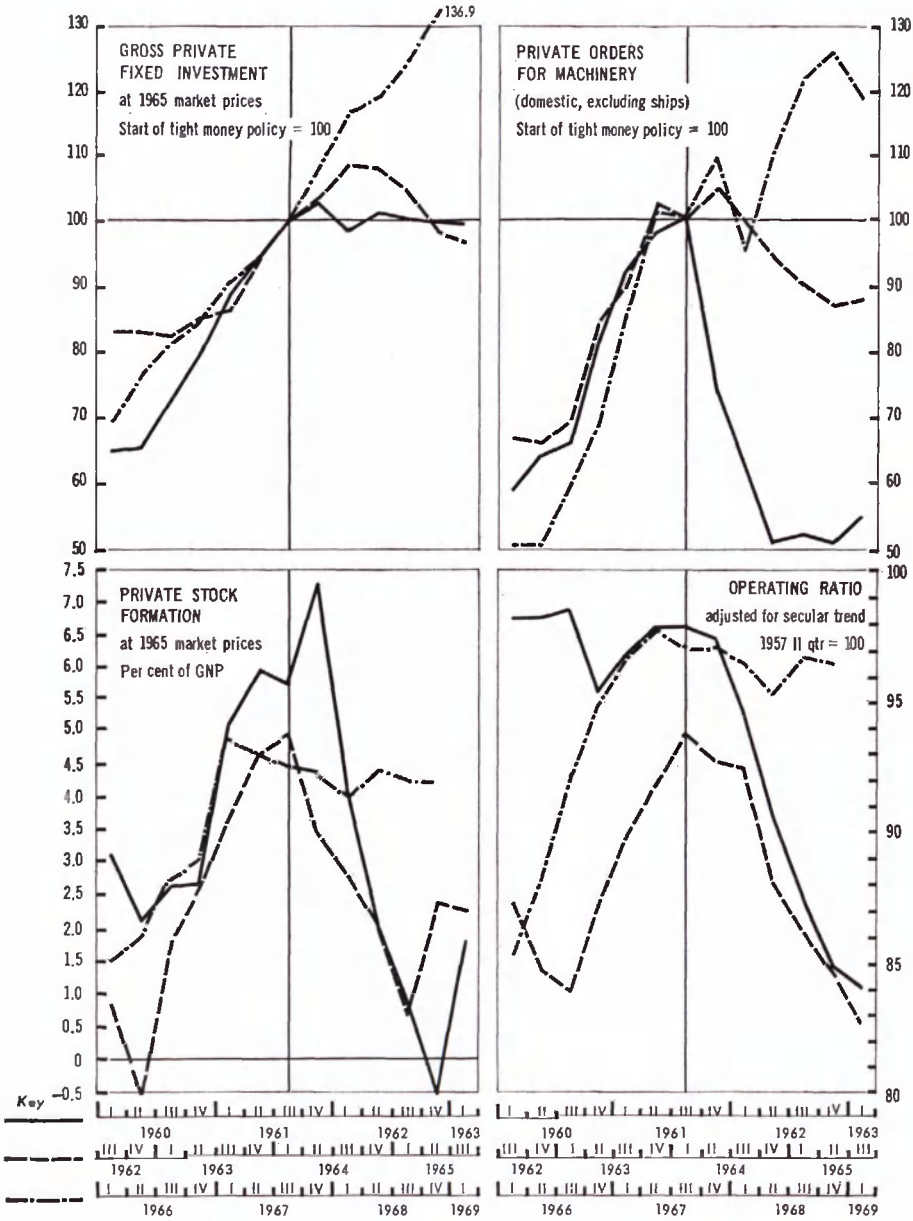
Between the fourth quarter of 1967 and the first quarter of 1969, the shift from deficit to surplus of the external balance on goods and services (national accounts basis, seasonally adjusted) probably amounted to more than 2.5 per cent of the initial GNP. The rate was smaller than recorded in previous adjustment periods, but the improvement in absolute terms may have outmatched the previous record swing of Yen 913 billion or $2.5 billion (annual rates) by about Yen 240 billion (almost $0.7 billion). Between the two phases of the recent balance of payments cycle distinguished in Table 3, the growth of exports accelerated from an annual rate of 9.2 per cent to as much as 30.6 per cent—the highest rate ever recorded during an external adjustment period. Over the same time, the expansion of imports was almost halved to 11.7 per cent. This compares with average annual rates of change in imports of 3.4 per cent and minus 9.3 per cent registered during the preceding balance of payments recovery periods. The combination of rapidly growing exports and weak imports continued during the first five months of this year. Merchandise exports were running 18.7 per cent above the average 1968 level in January-June, seasonally adjusted, while imports (cif) showed a moderate advance of 6 per cent only.

The recent balance of payments recovery has one interesting feature in common with the previous adjustment period. In both cases, the positive swings of the trade balance were more pronounced than the preceding negative swings, pointing to an underlying increase in the trade surplus since the 2nd quarter of 1964. The fundamental strengthening of the external position thereby implied is also strongly suggested by the fact that during the last period of balance of payments deterioration (second quarter 1966 to end-1967) both the trade and the current surpluses were, on average, running at a higher rate than during the earlier periods of balance of payments recovery (see Table 9).

(c) *Exports*

In contrast to previous balance of payments adjustment periods, the contribution of exports to the improvement of the external position has been bigger than that of imports. Indeed, had total exports in the latter half of the boom continued to rise at the same low rate as during the earlier part (second quarter 1966 to end-1967), the external balance on goods and services would have shown a deficit of $1.1 billion (seasonally adjusted annual rate) in the first quarter of 1969 instead of the actual surplus of $2.3 billion. The rate of export growth in the short run may be heavily influenced by cyclical developments in foreign markets. Going back over a longer period, it should be noted that from 1960 to 1966 (both years of strong business expansion), Japanese exports expanded at an average annual rate of 15.8 per

Diagram 1 **Comparative Behaviour of Business Indicators during Periods of Adjustment**



Source: Annual Report on National Income Statistics, EPA; Main Economic Indicators, OECD and Economic Survey of Japan 1967-1968, EPA.

cent. Extrapolating this rate through 1967 and 1968, merchandise exports would have been $930 million higher in the former year, but also $170 million higher in the latter (on a cumulative basis). On this reckoning, the rapid expansion of exports in 1968 was not sufficient to make fully good for the ground lost a year earlier[1]. In the following paragraphs, an attempt is made to analyse the marked changes in the Japanese export performance during the latest boom and some preceding years.

The weak trend of exports in 1967 and the subsequent sharp upswing reflected world trade developments as well as changes in the comparative export performance vis-à-vis other OECD competitors. The expansion of Japanese export markets (weighted with Japan's regional and commodity structure of exports) slowed down to about 7 per cent in 1967 from an average (compound) rate of some 13 per cent registered during the 1963-1966 period. On a year-to-year comparison, the growth of Japanese foreign markets accelerated to almost 12 per cent in the first half of 1968 and may have attained 15 per cent for the year as a whole. The steeper trend can fully be attributed to the boom conditions in the United States and the strong import pull from developing countries other than Far East Asian countries. The growth of Japanese markets in the Eastern bloc, in Western Europe and in other developed countries appears to have been less marked or only moderately faster in 1968 than in previous years, while demand of Far East Asian countries for OECD exports continued to advance rather steadily.

The retarding or expansionary impact of cyclical or other changes in world demand on actual developments of Japanese exports was greatly reinforced by a parallel deterioration or improvement of Japan's relative export performance. Thus, in 1967, Japan's export elasticity[2] dropped below 1, probably for the first time in post-war history. In 1968, however, Japanese shipments to abroad expanded 1.5 times as fast as corresponding sales abroad of other OECD countries. The relative increase in market shares vis-à-vis OECD competitors roughly corresponded to the market gains achieved in previous boom years (1961, 1963, 1966), but was modest compared with the inroads into foreign market shares made in the two previous years of balance of payments adjustments associated with a slowdown of domestic expansion (1962, 1965).

In 1967, market shares were lost in the United States (see Table 4) and the Eastern bloc, but rather significant gains were made in Oceanian and developing countries. The disappointing export performance in the United States is partly explained by the rapid expansion of trade inside North

1 The latest export forecast for 1969 (a rise of over 20 per cent) implies, however, that the trend value will be exceeded this year.

2 The elasticity of Japanese exports to OECD exports (weighted by Japan's regional and commodity export structure).

Table 4*a* **Comparative Export Performance in Regional Markets**

Indices; previous year = 100

	North America (I)	North America (II)[2]	OECD Europe (I)	OECD Europe (II)[2]	Far East Asia	East bloc	Other Developed Countries	Others	Total
Weight in Japanese exports '68	34.5		12.5		26.0	4.3	5.4	17.4	100.0
1963:									
1 Japanese exports to	106.0		105.0		109.9	117.9	124.4	116.0	110.2
2 Market growth of[1]	105.7	104.3	113.1	110.2	109.2	96.6	107.0	107.7	107.7
3 OECD exports to	105.1		112.7		111.2	106.9	111.8	102.3	108.8
1964:									
1 Japanese exports to	124.8		119.9		112.7	153.7	142.2	125.4	123.2
2 Market growth of[1]	114.6	113.3	113.5	126.2	107.1	121.8	121.0	110.5	112.3
3 OECD exports to	113.9		113.8		107.4	124.7	122.8	110.4	113.4
1965:									
1 Japanese exports to	134.1		123.7		123.4	123.3	130.2	121.2	126.7
2 Market growth of[1]	124.8	128.6	113.9	112.5	109.8	117.4	111.9	107.5	115.0
3 OECD exports to	120.1		111.0		108.9	105.6	113.5	100.9	110.1
1966:									
1 Japanese exports to	119.9		118.5		117.9	128.7	95.8	106.9	115.7
2 Market growth of[1]	117.5	117.5	108.6	114.4	108.3	123.2	92.6	103.8	110.2
3 OECD exports to	120.2		108.5		108.9	123.9	96.4	109.9	110.6
1967:									
1 Japanese exports to	101.8		111.8		110.8	87.9	119.2	109.9	106.8
2 Market growth of[1]	105.5	103.5	110.7	113.2	107.1	117.1	107.4	105.4	107.3
3 OECD exports to	108.4		104.5		108.6	107.5	106.1	104.0	105.6
1968 first half:									
1 Japanese exports to	131.4		119.1		117.8	97.0	107.6	113.5	119.9
2 Market growth of[1]	121.3	125.8	107.7	111.5	107.1	92.9	93.4	115.9	111.8
3 OECD exports to	119.7		106.1		102.8	97.6	96.2	106.0	107.6
1968:									
1 Japanese exports to	134.8		116.6		126.1	108.0	112.6	117.0	124.2
3 OECD exports to	122.4		111.3		108.8	106.7	101.8	112.4	112.8

1 Rates of growth of OECD commodity exports to each regional market weighted by Japanese commodity export structure of each regional market.
2 Excluding intra trade.
Source: Statistics of Foreign Trade, Series B and C, OECD.

Table 4*b* Comparative Export Performance in Commodity Markets

Indices: previous year = 100

	Fish and Fish preparations	Other Food	Crude Materials inedible	Chemical elements and Components	Other Chemicals	Textile yarn Fabrics	Iron and Steel	Other Manufactured goods	Machinery other than electric	Electric Machinery	Automobiles	Ships	Other Machinery	Clothing	Professional controlling	Musical instruments, etc.	Toys, etc.	Other Misc.		Total
SITC	03	Other 0	2	51	Other 5	65	67	Other 6	71	72	732	735	Other 7	84	86	891	894	Other 8	1, 3, 4, 9,	
Weight in Jap. exports '68	2.2	1.1	1.9	2.8	3.4	11.1	13.2	10.6	9.0	11.7	7.6	8.4	1.3	3.0	3.6	2.7	1.8	3.7	1.0	100.0
1963:																				
1 Japanese exports of		84.9	102.8		120.2			110.6					117.6					106.2	106.3	110.2
2 Market growth of[1]		110.4	108.9		114.4			106.1					108.5					107.5	103.9	107.7
3 OECD exports of		111.5	109.0		110.1			105.8					108.7					114.0	107.8	108.8
1964:																				
1 Japanese exports of	110.2	115.7	113.6	139.5	110.5	113.4	129.6	117.0	141.9	123.7	142.0	144.4	71.6	119.3	117.4	148.6	109.9	116.1	186.4	123.2
2 Market growth of[1]	113.4	106.1	111.6	119.3	106.5	106.9	118.2	109.6	110.4	110.8	111.3	126.0	102.4	112.7	112.3	120.7	114.7	113.0	106.4	112.3
3 OECD exports of	111.7	112.9	114.0	122.4	115.5	113.1	117.3	115.3	112.1	114.6	114.9	113.8	108.1	117.0	111.8	118.7	118.2	112.7	105.5	113.4
1965:																				
1 Japanese exports of	103.3	114.5	120.1	143.6	141.8	109.8	141.9	125.5	129.8	121.6	142,9	152.5	137.3	114.1	129.6	132.5	108.6	113.8	110.5	126.7
2 Market growth of[1]	107.0	107.3	103.7	129.4	116.2	103.9	123.7	117.5	111.6	117.8	116.2	127.3	110.4	116.4	112.8	126.1	111.4	105.8	107.8	115.0
3 OECD exports of	110.7	105.1	103.3	124.6	106.6	104.7	114.2	116.4	110.7	111.4	116.9	119.0	101.6	115.1	110.4	123.4	115.2	101.8	108.3	110.1
1966:																				
1 Japanese exports of	116.3	98.7	102.8	131.2	115.2	111.5	100.2	110.8	130.3	136.1	125.1	110.1	119.8	118.5	129.3	145.0	114.1	109.6	112.1	115.7
2 Market growth of[1]	111.5	109.7	104.3	115.2	112.4	109.7	94.9	111.7	114.5	122.7	123.9	102.9	109.2	112.1	116.5	129.8	114.4	111.7	106.7	110.2
3 OECD exports of	109.0	108.5	105.9	112.2	112.8	106.4	98.5	112.7	114.9	112.3	119.4	107.3	101.0	116.7	115.3	122.0	113.4	113.5	106.8	110.6
1967:																				
1 Japanese exports of	90.8	117.0	91.7	94.3	109.6	96.8	98.4	103.9	114.1	109.6	118.1	119.4	147.0	98.6	118.0	146.8	106.2	115.6	84.8	106.8
2 Market growth of[1]	96.5	102.7	110.4	112.7	108.0	99.8	108.5	104.4	109.6	108.1	113.7	110.3	111.3	101.4	111.8	123.2	110.8	111.8	108.2	107.3
3 OECD exports of	97.5	97.9	102.2	108.8	107.8	98.8	107.2	102.6	107.9	108.3	110.1	112.9	120.3	101.9	110.5	120.0	109.8	110.9	103.7	105.6
1968 first half:																				
1 Japanese exports of	118.6	122.7	117.5	107.9	105.4	104.3	131.3	117.8	121.8	122.2	139.6	122.6	161.3	113.6	113.4	128.9	104.1	119.1	90.0	119.9
2 Market growth of[1]	107.8	101.2	103.7	105.9	105.5	105.3	112.4	110.6	109.2	109.1	133.8	124.7	119.9	111.4	103.8	115.0	105.2	113.9	98.3	111.8
3 OECD exports of	103.0	100.0	107.7	109.8	108.4	105.9	105.0	109.0	104.2	107.8	118.1	115.6	125.3	108.5	105.2	115.0	104.6	109.5	102.8	107.6
1968:																				
1 Japanese exports of	115.5	116.2	115.9	119.9	115.9	116.8	134.6	120.5	125.8	131.6	155.9	110.4	139.8	115.3	120.1	131.9	111.7	119.2	112.2	124.2
3 OECD export of	106.0	102.1	102.4	115.4	115.5	115.4	112.3	114.0	110.2	114.2	127.4	108.4	128.3	116.6	111.3	120.3	111.3	115.0	106.3	112.8

1 Rates of growth of OECD exports of each commodity group weighted by the Japanese regional export structure of each commodity group.

Table *5a* **Japan's Share in Total OECD Exports**

Per cent

		Weight in OECD exports 1968	1962	1963	1964	1965	1966	1967		1968	
								year	1st half	year	1st half
Total		100.0	5.56	5.63	6.12	7.04	7.37	7.45	6.91	8.21	7.70
0	Food and live animals	9.1	3.30	2.51	2.48	2.51	2.56	2.56	2.27	2.90	2.72
2	Beverages and tobacco	7.7	2.01	1.89	1.89	2.19	2.13	1.91	2.11	2.01	1.93
5	Chemicals	9.2	3.65	3.98	4.13	5.26	5.72	5.40	5.46	5.51	5.08
6	Manufactured goods classified chiefly by material	22.7	10.02	10.47	10.85	11.99	11.94	11.54	10.77	12.62	11.83
7	Machinery and transport equipment	35.5	4.45	4.82	5.67	6.84	7.51	7.91	7.18	8.77	8.24
8	Miscellaneous manufactured articles	8.9	11.34	10.56	11.00	11.93	12.49	13.08	12.22	13.69	13.10
03	Fish and fish preparations	0.75	—	23.98	23.63	22.05	23.53	21.88	20.82	23.84	23.94
51	Chemical elements and components	3.08	—	5.40	6.15	7.09	8.29	7.18	6.84	7.46	6.73
65	Textile yarns, fabrics, etc.	4.71	—	17.37	17.42	18.27	19.15	18.76	17.87	19.28	17.61
67	Iron and steel	5.73	—	12.31	13.60	16.90	17.19	15.79	14.54	18.92	18.19
71	Non-electric machinery	15.12	—	2.41	3.05	3.57	4.05	4.28	3.84	4.88	4.49
72	Electric machinery	6.68	—	8.65	9.34	10.20	12.36	12.50	11.35	14.41	12.87
732	Automobiles	9.34	—	3.21	3.97	4.85	5.09	5.45	5.35	6.67	6.33
735	Ships	1.67	—	22.89	29.05	37.23	38.18	40.39	38.88	41.10	41.21
84	Clothing	1.74	—	14.31	14.60	14.47	14.69	14.21	13.44	14.06	14.07
86	Cameras, watches, etc.	2.46	—	7.57	7.95	9.33	10.47	11.17	10.42	12.06	11.23
891	Musical instruments, records, etc.	0.70	—	14.78	18.50	19.88	23.62	28.89	26.25	31.67	29.42
894	Toys, games, etc.	0.51	—	34.64	32.23	30.35	30.58	29.55	30.57	29.64	30.40

Source: Commodity Trade, Series B, OECD.

Table 5*b* **Japan's Share in OECD Exports to the United States**

Per cent

		Weight in OECD exports 1968	1962	1963	1964	1965	1966	1967		1968	
								year	1st half	year	1st half
Total		100.0	15.34	15.61	17.10	18.99	18.68	17.35	16.62	18.47	17.45
0	Food and live animals	4.5	15.51	13.77	15.35	12.43	14.34	11.79	11.51	12.09	12.36
2	Crude materials, inedible, except fuels	8.5	3.08	2.56	2.35	3.49	2.65	1.47	1.36	1.66	1.68
5	Chemicals	3.7	7.09	8.01	8.39	8.25	10.57	9.85	9.46	10.44	9.24
6	Manufactured goods classified cheifly by material	28.5	19.30	21.11	23.50	25.50	24.98	23.84	23.20	25.65	23.94
7	Machinery and transport equipment	36.3	13.16	13.90	15.21	17.83	16.83	14.57	13.87	15.89	14.44
8	Miscellaneous manufactured articles	11.4	36.09	33.72	34.32	35.54	36.40	36.88	35.88	36.80	36.04
03	Fish and fish preparations	1.41	—	32.54	33.01	27.96	34.49	29.56	29.94	29.18	29.77
51	Chemical elements and components	1.53	—	10.33	11.39	11.28	15.33	12.84	12.58	13.90	13.42
65	Textile yarns, fabrics, etc.	2.82	—	38.88	41.26	43.59	43.11	45.26	42.80	44.62	41.81
67	Iron and steel	8.78	—	33.73	39.26	41.28	43.49	40.71	40.89	41.13	42.32
71	Non-electrical machinery	10.20	—	6.60	8.37	8.40	8.71	9.18	8.09	9.95	9.05
72	Electrical machinery	6.06	—	46.71	51.37	51.16	50.54	47.42	43.94	50.57	46.05
732	Automobiles	17.82	—	5.13	7.62	12.12	9.49	6.14	5.16	8.15	8.51
84	Clothing	2.14	—	35.14	36.72	39.88	42.84	40.62	44.15	40.92	43.90
85	Cameras, watches, etc.	2.44	—	19.16	19.95	24.09	26.43	27.26	24.31	28.75	27.65
891	Musical instruments, records, etc.	1.30	—	43.39	52.17	53.88	55.61	64.43	59.46	69.66	64.00
894	Toys, games, etc.	1.13	—	68.75	65.15	61.94	61.13	57.51	59.74	55.56	56.21

Source : Commodity Trade, Series B, OECD.

America and was particularly pronounced in automobiles, iron and steel, and electrical machinery. The decline in market shares in the Sino-Soviet area was mainly due to non-economic reasons and a sharp reduction of prices of fertilizers. In 1968, Japanese exporters gained shares in all major regional markets with export elasticities substantially exceeding 2 (on average) in all main non-OECD trade areas.

As between main commodity groups, it is interesting to notice that losses in market shares in 1967 were largely confined to traditional Japanese export products (textiles, clothing, iron and steel, fertilizers, fish and fish products, toys, etc.). All main branches of the engineering industries—notably machinery and transport equipment—were able to make further inroads into other OECD countries' market shares. The relative export performance of musical and other instrument makers (watches, cameras, etc.) also remained very impressive. For 1968, total OECD trade figures by commodity groups are not yet available; but judging from Japanese and other major countries' export data, most of the traditional industries (with the possible exception of textiles, clothing and toys) appear, to an important extent, to have regained the ground lost in 1967, or increased their market shares.

The conclusion to be drawn from the above analysis is that the fall of the elasticity of exports below unity in 1967 (in respect of the growth of Japanese export markets) was due to a number of rather unfavourable factors which, in the meantime, seem to have been largely removed: first, severe capacity limitations in certain industries, notably steel; second, the relatively high degree of slack in Japan's most important competitor countries, which led to keener competition in world markets; third, the special difficulties of exporting to the Eastern bloc. It should be noted, however, that the pressure of domestic demand does not seem to have eased after 1967 and that the expansion of exports to the communist countries has been moderate in comparison with earlier years. Some other forces which had influenced export trends unfavourably in 1967 have continued to operate. Developing Asian countries have increasingly gained importance as suppliers of labour-intensive products. But Japanese exporters have also faced fiercer competition in certain commodity markets where their competitive advantage has remained high and where important market shares have already been gained. Moreover, Japanese exports to some countries have persistently been hampered by various import restrictions.

(d) *Imports*

Although the sharp acceleration of exports has been, in quantitative terms, the most important element of the recent swing of the current balance

of payments, the reason why this spectacular improvement could be achieved in conditions of continued boom is largely to be found on the import side. The elasticity of imports to total demand fell from 1.16 in the period second quarter 1966 to fourth quarter 1967 to 0.58 in the period first quarter 1968 to fourth quarter 1968; without this fall, imports would have risen by as much as 23.2 per cent in the latter and the current balance would have shown a small surplus only. Similar sharp falls in import elasticities occurred in previous adjustment periods; but in these cases, the decline was essentially explained by the slack conditions prevailing at home. In view of the fact that, during the latest adjustment period, the overall pressure on resources has not slackened, and that most expenditure components accelerated, the reasons for the weak trend of imports seem of a more complex nature.

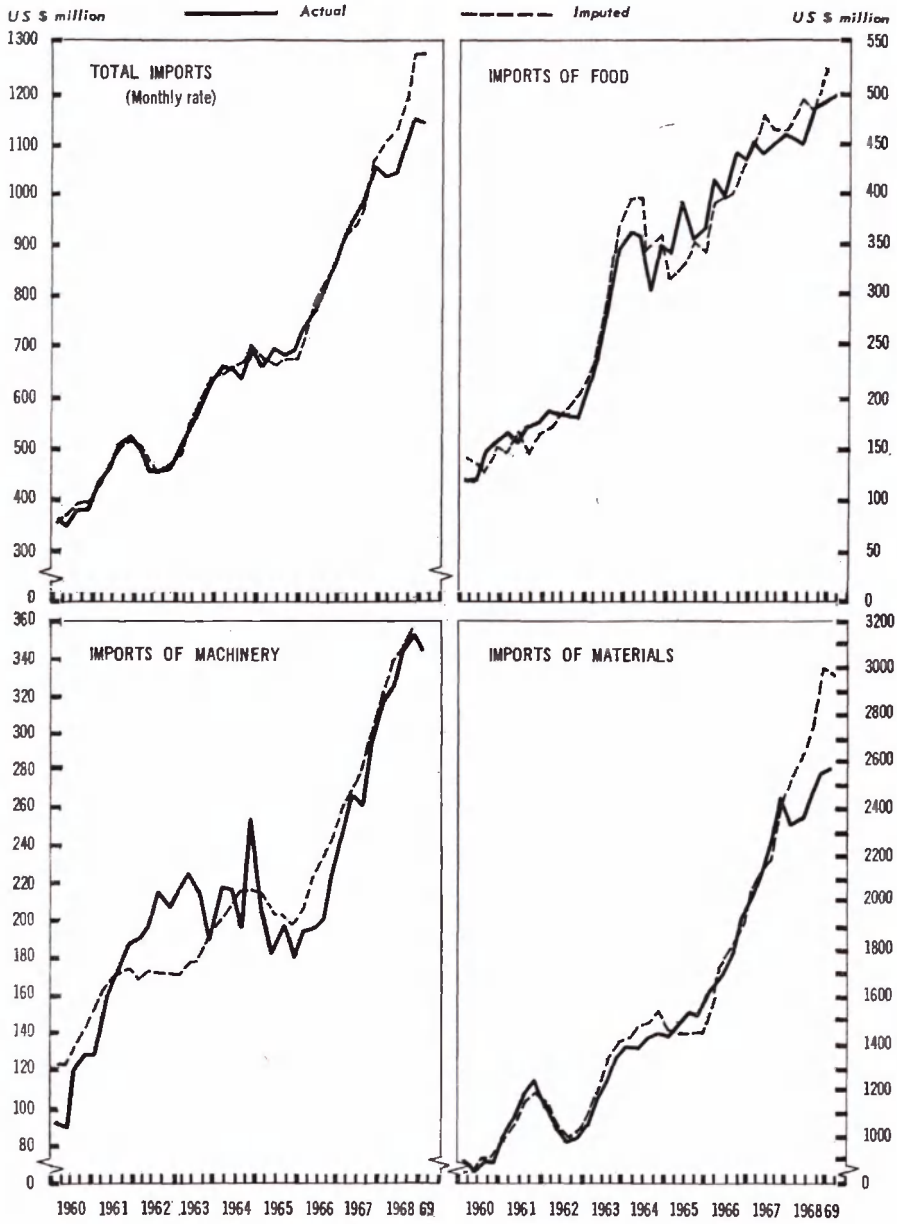
Table 6 **Imports and Demand**
At constant 1965 prices

		1966		1967		1968	
		percentage change from previous year	contribution to changes of total demand	percentage change from previous year	contribution to changes of total demand	percentage change from previous year	contribution to changes of total demand
1	Private consumption	8.1	40.9	9.6	34.9	9.4	31.8
2	Government current expenditure	5.5	4.5	5.4	3.2	6.9	3.6
3	Private residential construction	8.5	4.3	16.4	6.1	24.1	8.8
4	Private productive investment	11.4	16.2	25.8	27.5	26.5	30.3
5	Government investment	14.6	11.8	4.1	2.5	14.5	7.9
6	FINAL DOMESTIC DEMAND	9.1	77.7	11.8	74.3	13.7	82.4
7	Stock building		6.9		20.8		—1.7
8	TOTAL DOMESTIC DEMAND	9.6	84.6	14.7	95.1	13.4	84.1
9	Exports	15.5	15.4	6.3	4.9	22.5	15.8
10	TOTAL DEMAND	10.2	100.0	13.8	100.0	14.3	100.0
11	Imports, actual	12.0		22.3		12.8	
12	– elasticity with respect to total demand	(1.176)		(1.616)		(0.895)	
13	Imports at constant :						
	— 1965 import ratios for main demand components [1]	11.4		16.3		16.7	
	— 1966 elasticities to total demand	12.0		16.2		16.8	
14	Foreign balance, current prices (Yen billion)	499		—5		441	
15	*of which :*						
	— due to changes in terms of trade	—33		+3		+27	
16	Foreign balance, 1965 prices	532		—8		414	

1 Based on input-output data. The ratios are 8.54 % for private consumption, 2.84 % for government current expenditure, 8.62 % for total fixed investment, 17.92 % for stock formation and 14.27 % for exports.

Source : Annual Report on National Income Statistics, EPA and 1965 input-output table of Japan.

Diagram 2 **Actual and Imputed Developments of Imports**
c.i.f., seasonally adjusted



1 See note to Diagram 2.

Source: Main Economic Indicators, OECD; Basic Data for Economic Analysis, Export and Import Price Indexes Annual, Bank of Japan; Annual Report on National Income Statistics, EPA.

Various possible explanations could be suggested for the low import elasticity during the recent balance of payments recovery period: shifts of spending and production towards less import-dependent components, import substitution due to improved relationships between demand and domestic supply potentialities or improved competitiveness, import-saving techniques of production, stock adjustments of imported goods and price changes. In assessing future trends of the balance of payments and formulating growth and development policies consistent with external requirements, it is important to consider the extent to which such factors contributed to the balance of payments strength, and how far they should be regarded as transitory or persistent.

Table 6 shows the behaviour of the main demand components and compares the actual and "imputed" development of imports during the first three years of the present boom. The hypothetical rates of growth of imports (in volume) given in line 13 have been calculated on the basis of unchanged import ratios for main demand components derived from input-output statistics relating to 1965. A comparison of actual and "theoretical" growth rates of imports (lines 11 and 13) would suggest that neither changes in the trend nor in the pattern of total demand can explain the sharp drop of the rate of growth of imports from 1967 to 1968. The actual elasticity of imports to total demand and to its individual components was extremely high in 1967 and exceptionally low in 1968. It is interesting to note that the average growth of imports during the 1967-1968 period was much stronger

Note to Diagram 2

Imputed developments are derived from the following regressions; all estimates are based on 1958—1967 data.

Total imports c.i.f.

$$\frac{M}{Pm} = -102.6 + 7.46\,Ip + 2.23\,(Jr - Jr\text{-}1) - 3.78\,t, \qquad R^2 = 0.997$$

M imports, monthly rate US $ million
Pm import price index, (1963 = 100)
Ip industrial production index, (1963 = 100)
Jr inventory index of imported raw materials, (1965 = 100) Jr-1 denotes the index a quarter earlier
t time, 1958 I qtr = 1, 1967 IV qtr = 40

Imports of materials (including some consumer non-durables)

$$\frac{M_1}{Pm_1} = -491.0 + 21.21\,Ip + 6.62\,(Jr - Jr - 1) - 23.22\,t, \qquad R^2 = 0.990$$

M_1 imports of materials, US $ million
Pm_1 import price index for raw materials (1965=100)

Imports of food

$$\frac{M_2}{Pm_2} = -465.2 + 0.170\,cf, \qquad R^2 = 0.960$$

M_2 import of food, US $ million
Pm_2 import price index for food (1965=100)
Cf private consumption of food, volume, US $ million

Imports of machinery

$$\frac{M_3}{Pm_3} = 39.4 + 0.0468\,I, \qquad R^2 = 0.782$$

M_3 imports of machinery, US $ million
Pm_3 import price index for machinery (1965=100)
I private productive investment, volume, US $ million.

in relation to the expansion of demand than in the two previous years of business upswing (1966 and 1964). This might suggest either that there has been no fundamental change in the trend of imports, or that the sluggish import demand in 1968 must be regarded as a natural reaction to the inflated level of 1967.

But the hypothesis that the contribution of imports to the improvement of the balance of payments has mainly been a result of accidental factors does not appear convincing. There was perhaps an excessive stockbuilding in imported timber and feeding stuffs during 1966 and 1967; but as imports of these products continued to rise in 1968, the overall picture was, if anything, only marginally affected. More important in this respect was the marked swing of steel imports[1]. If the fluctuations were evened out, the rate of growth of total merchandise imports (in volume) would be brought down from 23.8 per cent to 21.7 per cent in 1967 and up from 10.8 to 13.5 per cent in 1968. However, only a small part of the swing in steel imports can clearly be attributed to special factors. The accumulation of stocks of pig iron and scrap in 1967 and the decumulation in 1968 were equivalent to only 20 per cent and 10 per cent respectively of the actual change in the level of steel imports. This suggests that the erratic behaviour of steel purchases abroad was primarily caused by domestic capacity shortages in 1967, which were removed in 1968.

In brief, looking from the demand side, there is evidence of excessively high imports during the period of balance of payments deterioration, but little proof that last year's fall of imports below the trend line was mainly a temporary phenomenon. Indeed, as can be seen from Diagram 2, total merchandise imports moved closely in line with estimates derived from the import function [2] until the fourth quarter of 1967, and have since fallen conspicuously below the theoretical values. From the beginning of 1968 through March 1969, the total cumulative "loss" of imports at current prices amounted to as much as $1.5 billion. The divergence from the trend was mainly due to the abnormal behaviour of imports in the first half of 1968, although the "import gap" has widened further since the autumn of last year, amounting to an annual rate of $1.6 billion in the first quarter of 1969.

The "import saving" was concentrated on raw materials and semi-manufactures. Imports of machinery and equipment have continued to grow roughly in step with private productive investment. Imports of consumer goods (of which 77 per cent consists of unprocessed agricultural products and feeding-stuffs) began to advance at a slower pace (relative to

1 Imports of iron, steel and scrap rose from 6.4 million metric tons in 1966 to 13.7 million in 1967, and dropped to 8.6 million in 1968.

2 Calculated by the OECD Secretariat.

the expansion of private food consumption) in 1967. This slowing-down must be regarded as a return to a more normal trend of food imports after several years of extreme buoyancy; the record rice harvests in 1967 and 1968 also played a role. As can be seen in Table 7, the development of imports of non-food consumer goods is hardly significant in the present context, since this category represented in 1968 no more than 2.3 per cent of total imports. The relative decline of imports of industrial materials (which make up almost 70 per cent of total Japanese imports) has, in fact, been the most important factor. Imported raw materials per unit of industrial output dropped by as much as 5.5 per cent in 1968, after a rise of 1.9 per cent in 1967. The import saving appears to have been largely a consequence of a shrinking overall material input per average unit of output. Moreover, it should be noted that the actual level of raw material imports in 1968 was even bigger than would have been required for current production purposes; the formation of stocks of imported raw materials was, indeed, more important in 1968 than a year earlier.

Table 7 **Imports by Categories**

	Weight in 1968	1964	1965	1966	1967	1968
		Percentage change from previous year				
1 Industrial materials	70.2	19.1	3.8	18.1	26.5	11.0
2 Capital equipment	9.7	2.2	—14.7	7.0	29.4	26.5
3 Consumer non-durables	0.9	20.8	14.6	22.2	32.3	38.8
4 Consumer durables	1.4	46.5	20.9	19.7	18.7	16.4
5 Food	17.3	22.2	8.3	15.2	6.7	3.9
6 Consumer goods (3 + 4 + 5)	19.6	23.3	9.1	15.7	8.1	5.9
7 Total imports	100.0	17.8	2.9	16.6	22.5	11.4

Source: Trade of Japan (monthly), Japan Tariff Association.

The relatively moderate growth of imports of materials since the beginning of last year has to a considerable extent been due to structural shifts of production towards less material-intensive branches or high net added value industries. There has indeed been a tendency for such a gradual shift over a number of years[1] but the shift was particularly pronounced in 1968. As can be seen from Table 8, all industries with a relatively high material input coefficient[2] advanced at a much slower rate in 1968 than a year

1 According to a study by the Ministry of International Trade and Industry, the average annual effect of import saving in the 1960-1965 period was equivalent to 1.5 per cent of total imports. It should be noted that the import function of Diagram 2 includes an element of secular import saving.

2 Consumption ratio of domestic and imported materials.

earlier, while the expansion rate of the other industries remained high. Output of the engineering industry, representing about 30 per cent of total industrial production in 1967, accounted for almost 55 per cent of the total increase in 1968. This industry benefited from the continued strength of productive investment, the rapid expansion of private consumption (particularly of certain types of durables) and the boom conditions abroad. Its total exports rose by 28.7 per cent in 1968; the increase for TV sets was 62 per cent, for motor vehicles 69 per cent, and for tape recorders 39 per cent.

Table 8 **Growth of Industrial Production**
Per cent

	Consumption coefficient[1]	Weight in 1967 (value added)	1964	1965	1966	1967	1968	1969[2] (FY)
Industries with high material consumption:		24.78	16.0	4.9	12.3	16.5	10.4	10.1
1 Iron and steel	5.65	7.18	24.3	2.8	15.6	29.4	12.5	14.4
2 Petroleum and coal products	3.07	1.65	18.5	14.9	14.8	20.4	14.6	12.4
3 Non-ferrous metals	2.40	2.54	22.5	—0.6	12.7	20.6	19.9	14.0
4 Textiles	2.08	10.12	10.7	7.1	10.1	9.0	6.0	5.5
5 Pulp, paper and paper products	1.75	3.29	13.3	2.2	12.2	11.4	10.0	9.3
Industries with low material consumption:		55.17	18.6	2.9	14.8	25.1	23.9	19.3
1 Rubber products	0.87	1.46	7.6	—2.8	7.9	17.6	18.2	16.7
2 Chemicals	0.72	8.81	13.3	9.6	13.0	17.1	15.9	15.4
3 Ceramics, stones and clay products	0.54	4.56	15.3	2.9	9.0	17.0	13.2	12.9
4 Machinery and equipment	0.32	33.60	22.1	1.5	16.1	30.1	27.9	21.6
5 Leather	0.24	0.48	4.8	2.4	3.0	2.5	22.1	17.8
6 Metal products	0.17	6.27	16.7	2.1	18.5	22.1	23.2	16.6
Total mining and manufacturing		96.04	15.7	3.7	13.2	19.4	17.8	15.5

1 Weight in consumption index divided by weight in production index; Coefficient of 1 =average material consumption per unit of output.
2 Official estimate January 1969.
Source : Industrial Statistics Monthly, Ministry of International Trade and Industry.

If it is true that structural shifts in the pattern of production towards less import-dependent branches have been a major element behind the import-saving in the recent past, imports will persistently run below their previous trend lines so long as there is no reversal of the structural shift. Should the different industries progress at even expansion rates from now onwards,

the marginal propensity to import would not recover from the 1968 slump to its previous level because of the increased weight of less material-intensive industries; in other words, any additional average unit of output would require less additional imports than in earlier years.

Some decline of relative import dependence also became manifest in services. The deficit on invisibles which had trebled between 1961 and 1967 to $ 1 172 million, rose relatively little in 1968. This was only partly attributable to the fall of freight rates. More important from a longer-term point of view has been the increase of the Japanese merchant fleet, which has helped to reverse the former rise of the traditional deficit on freight account. Receipts from freight increased by 29 per cent in 1968, while payments went up by less than 8 per cent.

(e) *Long-term capital balance*

The marked swings of the current balance of payments from surplus to deficit and back into surplus have been accompanied by almost parallel movements on long-term capital account. By contrast, the previous balance of payments cycle was characterized by opposite trends of the current and long-term capital balance. Table 9 shows the behaviour of the main balances during the last two cycles. It covers 7 ½ years divided into 5 sub-periods chosen according to turning points of the current balance of payments. The earlier tendency towards growing net long-term capital inflow was sharply reversed during the balance of payments adjustment period—1964 second quarter to 1965 third quarter. The subsequent periods saw rapidly growing deficits on long-term capital account running above $ 800 million in 1966 and 1967. Since the beginning of 1968, the deficit has contracted sharply and was temporarily replaced by some surplus in the summer of 1968 and in early 1969. The cumulative effects of the changes in long-term capital account on the level of reserves during the last balance of payments cycle have indeed been more important than the changes of the average level of the current surplus. In the period 1966 second quarter to 1967 fourth quarter, the total outflow of long-term capital amounted to $ 1,466 million ($ 838 million annual rate) compared with an outflow of $ 256 million ($ 171 million) in the preceding phase of improvement (1964 second quarter to 1965 third quarter). Over the same periods, the average current surplus showed a continued increase. The contribution of the long-term capital account to the recent swing in the balance of payments from deterioration to improvement has also been more important than that of the current balance. Between the two phases of the cycle, the long-term capital outflow contracted from an annual average rate of $ 838 million to $ 160 million, whilst the current balance improved by $ 429 million.

Table 9 **Analysis of Balance of Payments Cycles**
US $ million

	1961 III 1962 III improvement	1962 III 1964 I deterioration	1964 I 1965 III improvement	1966 I 1967 IV deterioration	1967 IV 1969 I improvement
Trade balance, fob seasonally adjusted	59	—166	1 897	2 746	3 477
Average annual rates	59	—111	1 265	1 569	2 782
Change between terminal quarters (annual rates)	1 476	—1 060	2 568	—1 812	3 072
Services and transfers, net	—484	—949	—1 322	—2 084	—1 737
Average annual rate	—484	—633	—882	—1 191	—1 390
Current balance, seasonnally adjusted[1]	—404	—1 117	602	977	1 234
Average annual rates	—404	—745	401	558	987
Change between terminal quarters	1 596	—1 700	2 628	—2 132	2 836
Long-term capital balance	128	595	—256	—1 466	—199
Average annual rates	128	397	—171	—838	—160
Change between terminal quarters	364	16	—948	—272	1 072
Short-term capital and unrecorded	149	315	—37	259	346
Average annual rates	149	210	—25	148	277
Balance on non-monetary transactions, seasonally adjusted[1]	—127	—207	383	—230	1 380
Average annual rates	—127	—138	255	—131	1 104
Change between terminal quarters	2 076	—1 048	676	—2 240	3 672

1 Seasonal adjustments apply to merchandise trade only.
Source: Balance of Payments Monthly, Bank of Japan.

The reversal of the former tendency towards growing net long-term capital outflow can fully be ascribed to the resumption of sizeable imports of foreign capital (see Table 10). The outflow of Japanese capital has sharply accelerated since 1964, exceeding $ 1.1 billion in 1968 compared with a steady $ 300 million during the early sixties. The rise in foreign long-term liabilities reached an all-time high of $ 857 million in 1968. During the preceding three years, Japan's long-term foreign liabilities had remained practically stable. All main sources of foreign capital supply contributed to the improvement of the balance except for long-term trade credits which were continuously exceeded by repayments. The net inflow of foreign tied and untied loans outmatched the previous peak attained in 1963 and foreign purchases of domestic securities were higher than total net receipts under this heading during the preceding seven years. New issues of Japanese bonds abroad almost reached the record level registered in 1963 and 1964. Probably in response to the "first round" of liberalisation measures[1], foreign direct investment in Japan increased from $ 45 million in 1967 to $ 75 million in 1968. The increase, however, did not make good for the decline in previous years.

1 See page 34.

Table 10 **Long-term Capital Balance**
US $ million

		1963	1964	1965	1966	1967			1968					1969
						year	III qtr	IV qtr	year	I qtr	II qtr	III qtr	IV qtr	1 qtr
Direct investment	Assets	122	56	77	107	123	29	55	220	37	25	31	127	46
	Liabilities	88	83	47	30	45	11	3	76	16	11	22	26	33
	Net	—34	27	—30	—77	—78	—18	—52	—144	—21	—14	—9	—101	—13
Trade credits	Assets	104	337	243	401	481	148	96	586	162	134	142	148	158
	Liabilities	58	82	—9	—30	—32	—9	—6	—15	—5	—4	—2	—4	—3
	Net	—46	—255	—252	—431	—513	—157	—102	—601	—167	—137	—144	—152	—161
Loans	Assets	61	49	115	149	221	47	122	237	30	81	56	70	73
	Liabilities	383	255	18	—18	29	25	51	478	104	140	133	101	149
	Net	322	206	—97	—167	—192	—22	—71	241	74	59	77	31	76
Portfolio investment	Assets	0	0	0	1	4	0	4	4	1	1	2	0	0
	Liabilities	114	16	—61	—25	70	28	7	229	—3	35	96	101	112
	Net	114	16	—61	—26	66	28	3	225	—4	34	94	100	112
Foreign bonds	New issues	197	199	98	0	15	0	15	179	35	60	45	39	
	Net of redemption	153	154	72	—25	—13	—6	7	119	27	43	27	22	59
Total	Assets	298	451	446	706	875	255	287	1 096	237	243	252	364	287
	Liabilities	765	558	31	—102	63	32	62	857	127	225	259	246	
	Net	467	107	—415	—809	—812	—223	—225	—239	—110	—18	7	—118	45

Source: Balance of Payments Monthly, Bank of Japan.

There are several reasons for the substantial inflow of foreign long-term funds since the beginning of last year. First, as the investment boom continued almost unabated during the period of restrictive monetary policy (from September 1967 through August 1968), the liquidity position of the enterprise sector tightened considerably, boosting demand for external funds. Second, the interest rate differential against foreign money and capital markets remained important up to the end of last year. Third, the Japanese authorities adopted more liberal attitudes towards foreign long-term borrowing, prompted by balance of payments considerations, and the aim to shift foreign indebtedness from short to longer-term liabilities. Fourth, the Japanese share market has attracted increasing numbers of foreign investors because of rising prices and buoyancy of profits; the improved balance of payments position also helped to increase confidence in the prosperity of the Japanese economy. Fifth, though of minor importance, the "first round" liberalization measures taken in 1967 have stimulated foreign direct investment. More recently interest rate differentials have narrowed considerably, and the authorities have been discouraging borrowing abroad by Japanese firms. Nevertheless, the other forces listed above will probably continue to operate in the foreseeable future.

II TRENDS OF ECONOMIC POLICY

As in earlier periods, changes in demand management policies have been primarily prompted by balance of payments considerations. Starting in early 1967, when the deterioration of the external balance had assumed disquieting proportions, policies were progressively shifted towards restriction[1]. An easier line of policy was adopted in the late summer of 1968, when there was sufficient evidence of a considerable improvement in the balance of payments. The general attitude of the Japanese authorities has, however, remained cautious, in spite of the continuing sharp improvement of the foreign balance. An important reason has been the evidence of continued boom conditions at home and fears of possible overheating. In addition, the authorities seem still to have some doubts about the degree of underlying strength of Japan's external position. But the rather cautious policy line is probably also determined by uncertainty about the continued buoyancy of world trade and developments in the international monetary scene. Policy measures taken in the period under rewiew include action to remove certain rigidities and shortcomings of the previous system of credit control and of earlier budgetary practice, as well as certain moves towards further liberalization of external transactions.

1 See the OECD Survey of Japan, published in June 1968, pages 23-27.

Monetary policy

The Bank of Japan took the first step towards relaxation of the tight money policy by lowering the official discount rate by 0.365 percentage point to 5.84 per cent with effect from 7th August, 1968. This move was followed by the decision to discontinue, as from October, the "window-guidance" in the form of quantitative restrictions on bank lending. However, in view of the persistently strong internal demand and the official forecast for a weakening of the external position, the discount rate has been kept above the pre-squeeze level and the Bank has maintained some guidance over lending operations, taking into account the fund position[1] of individual banks. According to the new directives, the main institutions[2] should not allow their fund position to deteriorate. This rule would imply that recourse to the Bank of Japan credit facilities was practically limited to the amount of additional money market lending or to a reduction of money market indebtedness. However, the new guidelines allow for seasonal fluctuations of the fund position. Moreover, the Bank of Japan takes account of special circumstances pertaining to individual banks. In fact, the fund position of City banks has fluctuated somewhat since the introduction of the new rules, but showed little change between September and March.

After the suspension of window guidance, there has been a conspicuous acceleration of lending activity (see Table 11). From October 1968 through March 1969, outstanding loans and discount credits of all financial institutions rose at about the same annual rate (17 per cent) as during the 12 months preceding the credit squeeze. During the period of tight monetary policy (October 1967 to September 1968), the rate of credit expansion had dropped to 13 per cent. In spite of an important supply of liquid funds through government transactions and the balance of payments, the squeeze on bank liquidity has not eased and credit terms appear to have tightened somewhat. In order to meet the growing demand for credit, banks have been forced to reduce their old stock of securities, thereby exerting a strong upward pressure on yields of oustanding bonds (see Diagram 4). However, yields of new issues, call money rates and other banks' lending rates have, as yet, shown little if any tendency to rise[3]. As a consequence, the interest rate differentials vis-a-vis the main foreign markets have greatly narrowed or been reversed in recent months.

1 The fund position is defined as the difference between money market lending and borrowing from domestic financial institutions (including recourse to the Bank of Japan credit facilities).

2 City banks and long-term credit banks, accounting together for about 70 per cent of total outstanding credit of all banks.

3 In Japan, new issues are largely subscribed by commercial banks which have close relationships with the issuing companies. The demand for call money has been sharply reduced because of the fund position guidance.

Table 11 **Money and Credit**

Outstanding, end of period. Seasonally adjusted

Billion Yen and quarterly percentage changes

	1966				1967				1968				1969	
	I	II	III	IV	I	II	III	IV	I	II	III	IV	I	II
Money supply	9 841	10 053	10 457	10 708	11 107	11 439	11 776	12 228	12 627	13 372	13 448	13 875	14 444	
(cash currency and	(4.8)	(2.2)	(4.0)	(2.4)	(3.7)	(3.0)	(2.9)	(3.8)	(3.3)	(5.9)	(0.6)	(3.2)	(4.1)	
deposit currency)	25 162	25 987	27 091	28 154	29 322	30 478	31 652	32 682	33 785	34 900	35 832	37 168	38 678	
Financial institutions' lendings	(3.8)	(3.3)	(4.2)	(3.9)	(4.1)	(3.9)	(3.9)	(3.3)	(3.4)	(3.3)	(2.7)	(3.7)	(4.1)	
of which:	19 506	20 083	20 926	21 621	22 546	23 366	24 236	24 835	25 686	26 476	27 104	28 472	29 609	
All bank loans and	(3.5)	(3.0)	(4.2)	(3.3)	(4.3)	(3.6)	(3.7)	(2.5)	(3.4)	(3.1)	(2.4)	(5.0)	(4.0)	
bills discounted	11 016	11 247	11 669	12 003	12 451	12 822	13 225	13 495	13 904	14 275	14 574	15 464	16 064	
of which: City banks	(3.0)	(2.1)	(3.8)	(2.9)	(3.7)	(3.0)	(3.1)	(2.0)	(3.0)	(2.7)	(2.1)	(6.1)	(3.9)	
New supply of industrial	1 006	1 059	1 017	1 105	1 203	1 278	1 402	1 392	1 412	1 583	1 673	1 721		
equipment funds[1]	(—0.1)	(5.2)	(—4.0)	(8.6)	(8.9)	(6.3)	(9.6)	(—0.7)	(1.4)	(12.1)	(5.7)	(2.9)		

1 Supplied during the period, net, including new issues of securites and funds supplied by government.

Source: Economic Statistics Monthly and Basic Data for Economic Analysis, Bank of Japan.

Table 12 **Public Finance**
Billion Yen

	FY 1961	FY 1962	FY 1963	FY 1964	FY 1965	FY 1966	FY 1967	FY 1968	FY 1969
1 General account expenditure	2 064	2 557	3 044	3 311	3 723	4 459	5 113	5 917	6 740
2 General account expenditure, percentage change from previous year	(18.4)	(23.9)	(19.1)	(8.8)	(12.4)	(19.8)	(14.7)	(15.7)	(13.9)
National account basis:									
3 Public consumption	1 626	1 931	2 320	2 685	3 086	3 510	3 946	4 550	5 210
4 Government gross fixed asset formation	1 732	2 199	2 487	2 734	3 226	3 769	4 250	5 200	5 740
5 Change in stocks	—15	—14	—39	59	94	127	297		
6 Total expenditure on goods and services	3 343	4 116	4 768	5 478	6 406	7 406	8 493	9 750	10 950
7 Current transfer payments	776	901	1 092	1 320	1 578	1 920	2 316	2 640	3 070
8 Total income effective spending (6 + 7)	4 119	5 017	5 860	6 798	7 984	9 326	10 809	12 390	14 020
9 Current revenue	4 168	4 596	5 349	6 043	6 622	7 614	9 012	10 520	12 030
10 Balance of income effective transactions (9 — 8)	49	—421	—511	—755	—1 362	—1 712	—1 797	—1 870	—1 990
Ratios:									
11 Share of public sector's spending on goods and services in GNP	17.3	19.4	19.3	19.3	20.4	20.2	19.8	19.3	18.9
12 Share of government current revenue (net of current transfers effected) in GNP	17.6	17.4	17.2	16.5	16.1	15.5	15.5	15.6	15.5

Sources: Annual Report on National Income Statistics, EPA; Ministry of Finance.

Note Figures through FY 1967 refer to actual results, those for FY 1968 to final budget estimate (line 1) and EPA estimates (lines 3-10), and those for FY 1969 to initial budget estimates and EPA forecasts.

Public finance

The tighter fiscal policy adopted in the summer of 1967[1] has been generally maintained so far. In the fiscal year 1968 (ending in March 1969), the share of public sector spending on goods and services in GNP showed a further drop, while the ratio to GNP of government current receipts (net of transfers) went up slightly. The Central government general account budget closed with a deficit of Yen 460 billion (less than 1 per cent of GNP) or Yen 270 billion below the FY 1967 result. Actual spending out of the Fiscal Loan and Investment Programme was stepped up by 12 per cent compared with 18 per cent a year earlier. Cuts in direct taxes were of about the same order of magnitude as in FY 1967 but, in contrast to previous years, were fully offset by increased indirect taxation.

The "integrated budget" principle adopted in 1968 was designed to avoid, if possible, the customary compilation of a supplementary budget. Under this principle, all expenditure expected to be disbursed during the fiscal year should be included in the initial budget, which should also contain higher reserves for unforeseen expenditure. Nevertheless, the introduction of a supplementary budget became necessary late in the year, though its size was relatively small (Yen 99 billion or 1.7 per cent of the initial expenditure estimates compared with 5 per cent for the supplementary budget of FY 1967). The main reasons for the additional expenditure were heavy outlays for the purchase of rice (due to a bumper crop and increased prices) and higher transfers of tax receipts to local authorities.

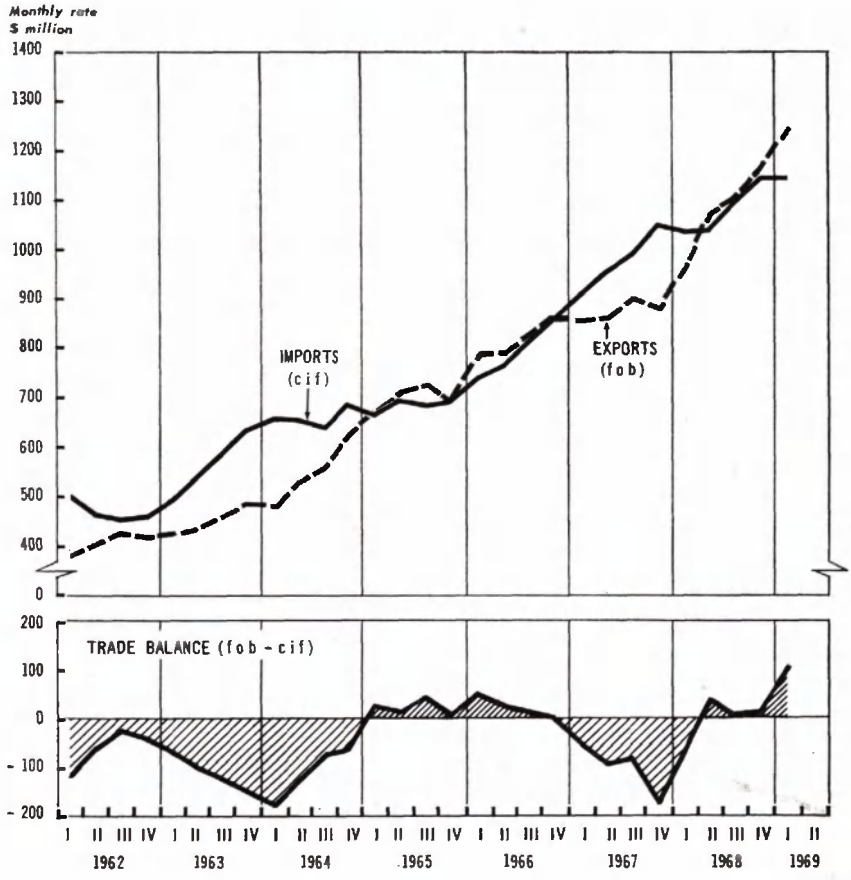
The general account budget for FY 1969 envisages an increase of expenditure by 13.9 per cent compared with the previous year's revised budget. Despite higher tax cuts (Yen 276 billion on a full year's basis) the deficit is estimated to exceed only marginally the recorded deficit in FY 1968 and may turn out smaller if, as seems likely, the official forecast for a GNP growth of 14.4 per cent at current prices is surpassed. The Fiscal Loan and Investment Programme is foreseen to rise by 10 per cent on actual FY 1968 results. The overall expenditure estimates of local government exceed last year's plans by 18 per cent, implying some steepening of the trend. Table 12 suggests, however, that the consolidated deficit on income-effective transactions of the public sector will contract further in terms of GNP in FY 1969.

Foreign trade and payments policies

In view of the greatly strengthened foreign position, the government has recently intensified its moves towards further liberalization of both invisible transactions and capital exports. As from April 1969, tourist and business

1 See 1968 Survey on Japan, pages 23-25.

Diagram 3 **External Trade**
Seasonally adjusted



Source: Main Economic Indicators, OECD.

travel allowances have been raised (from $500 to $700, and from $1 000 to $ 3 000 respectively for each trip). Furthermore plans are currently under consideration appreciably to increase the ceiling for automatic approval of direct overseas investment, and to abolish the restrictions on transfers on non-residents' earnings and profits of foreign-owned enterprises. A change towards a more liberal management of existing control instruments had already become evident in late 1968, when the Ministry of Finance gave its approval for exceptionally high direct investments by Japanese trading firms worth $100 million. Last December, the governement announced its

intention to abolish progressively the remaining quantitative restrictions on imports within "a few years." Under the new programme, a few imports have been liberalized as from 1st April 1969.

At the same time, the dismantling of restrictions on capital imports has continued. Controls on foreign direct investment in Japan were further relaxed in March: the "second round" of the liberalization scheme covers a wide range of trade and industry with maximum foreign participation ratios fixed at 50 per cent, but, in some cases, raised to 100 per cent. The regulations concerning foreign borrowing by Japanese firms have remained virtually unchanged in the recent period; but given the interest rate ceiling fixed for such borrowing, no significant inflow under this heading seems likely for the near future. On the other hand, since the beginning of April 1969, there has been an important shift of import financing from foreign to domestic sources, the foreign exchange banks being now less dependent on foreign sources of finance. The Bank of Japan has facilitated such a "Yen shift" by tolerating a deterioration of the fund position of City banks. This shift was expected to amount to more than $300 million by the end of May.

III SHORT-TERM PROSPECTS

The cautions judgment of current and prospective trends which the government has shown since the beginning of the balance of payments recovery appears again to have influenced the official forecasts for FY 1969. These estimates were approved by the Cabinet in January and have essentially been maintained until recently. They foresaw a slowing down of growth of all main demand components which, combined with an expected marked acceleration of imports, would reduce the rate of growth of GNP (in volume) to 9.8 per cent in FY 1969 as compared with the rate of about 14 per cent estimated for the previous fiscal year[1]. The external position was expected to weaken substantially, with the current surplus falling to less than $1 billion—almost $0.6 billion below the surplus in FY 1968. It was assumed that the net outflow of long-term capital would reach almost the same order of magnitude as in the previous year.

The unexpectedly fast growth of output and demand during the past fiscal year and the continued strong improvement of the foreign balance through May 1969, suggest that the official outlook underestimated the

1 In January, GNP was estimated to increase by 12.6 per cent in FY 1968.

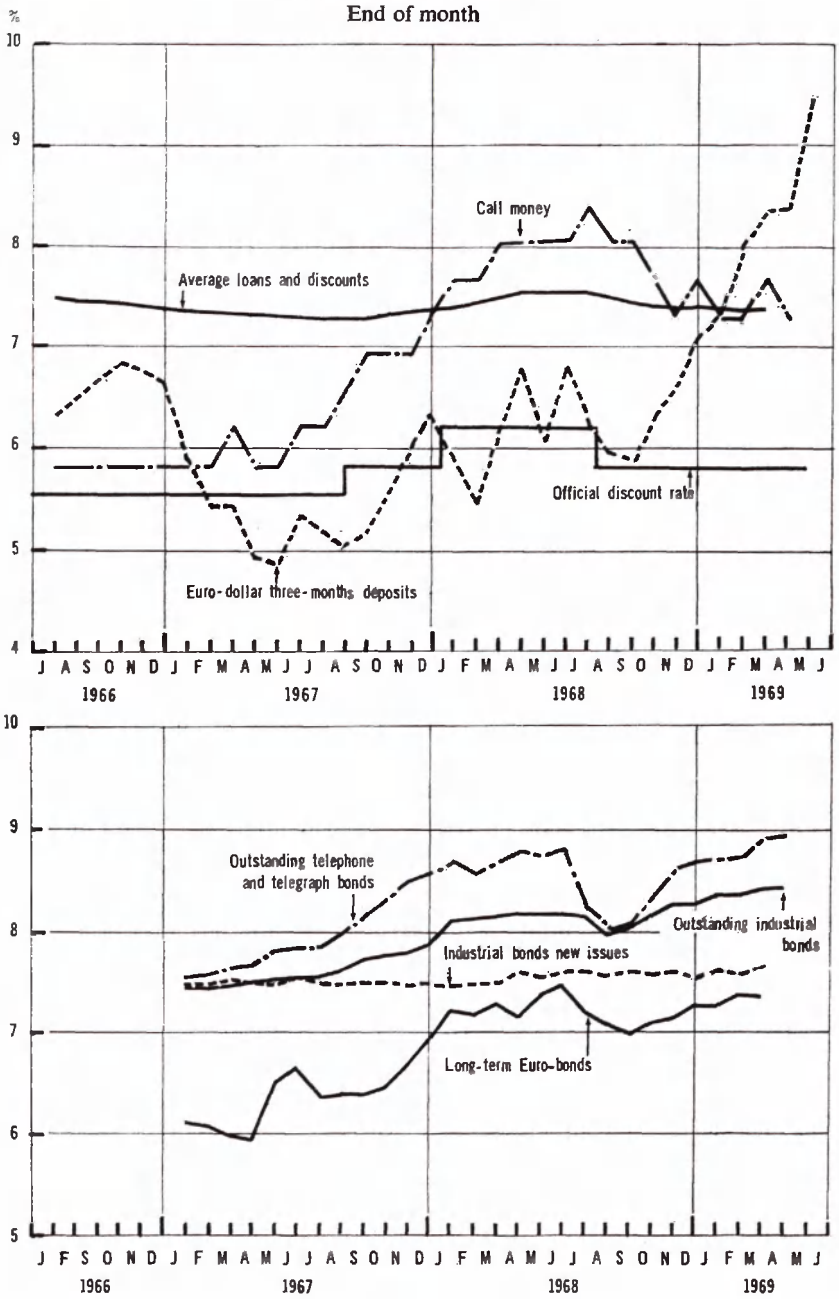
Table 13 **Official Economic Outlook**

Fiscal years, percentage changes from previous year—current prices

	FY 1966 Actual	FY 1967 Actual	FY 1968 Outlook in Jan. 1968	FY 1968 Estimates in Jan. 1969	FY 1968 Provisional results	FY 1969 Outlook in Jan. 1969	FY 1969 Estimates by the Secretariat June 1969
Consumers' expenditure	13.4	14.2	14.0	14.4	15	14.0	15
Private gross investment	27.1	31.0	5.7	19.7	22.5	17.6	18
Residential construction	16.2	28.4	20.8	26.3	28	22.9	25
Equipment and construction other than residential	25.4	28.1	9.7	22.1	25	16.3	20
Changes in stocks (in per cent of GNP)	3.1	4.1	(1.9)	(3.5)	(3.5)	(3.5)	(3.0)
Government expenditure	14.3	15.8	11.7	14.8	15.5	12.3	15
Current	12.4	13.1	13.8	15.3	16	14.5	15.5
Capital	16.2	18.3	9.9	14.4	15	10.4	15.0
Current external surplus (in per cent of GNP)	(1.1)	(—0.1)	(0.6)	(1.0)	(1.2)	(0.7)	(1.4)
Exports	15.3	8.8	14.1	24.2	25	11.8	17
Imports	17.1	21.9	7.3	12.2	12.5	14.7	14.5
GNP	16.6	17.4	12.1	17.3	18.5	14.4	16
GNP, volume	11.5	12.7	7.6	12.6	14.0	9.8	11.5
Industrial production, volume	17.1	18.6	9.0	18.0	17.2	15.5	16
Wholesale, prices	2.7	1.5	1.0	0.8	0.6	1.0	1¾
Consumers' prices	4.7	4.2	4.8	5.4	4.9	5.0	5
Customs statistics							
Exports	14.1	8.2	14.9	25.3	27.3	12.6	17.5
Imports	19.0	20.4	8.5	11.5	10.2	15.6	14.5
BALANCE OF PAYMENTS							
Current balance	994	—313	600	1 220	1 529	950	2 150
Trade balance	2 055	1 124	2 000	2 700	3 023	2 700	3 800
Exports	9 793	10 573	12 150	13 250	13 465	14 900	15 800
Imports	7 738	9 449	10 150	10 550	10 442	12 200	12 000
Services, balance	—901	—1 261	—1 200	—1 300	—1 327	—1 550	—1 650
Transfers, balance	—160	—176	—200	—180	—167	—200	
Long-term capital	—836	—741	—950	—220	—84	—850	
Short-term capital and errors and omissions	—100	—519	—	200	182	—	
Overall balance	58	—535	—350	1 200	1 627	100	

Source: Outlook and Basic Policy for the National Economy, Fiscal Year 1968, Jan. 1968, Fiscal Year 1969, Jan. 1969, EPA.

Diagram 4 **Interest Rates**
End of month



Source: Economic Statistics Monthly, Bank of Japan.

strength of both the growth potential of the Japanese economy and of the external position. The signs of weakening of the boom which appeared early in 1969 have not been confirmed by more recent indicators. They were probably associated with stock adjustments and may also have reflected seasonal irregularities. The index of industrial production, which in the first quarter of 1969 advanced at a seasonally adjusted annual rate of 3 per cent[1] only picked up more recently, and in April-May was 6 per cent above the first quarter average. Recent estimates point to a vigorous revival of new domestic orders for machinery in the April-June period. The rise of the inventory/delivery index has come to a halt since March. Most other leading economic indicators also point to a continued upswing.

Nevertheless, the pace of expansion might lose some momentum in the course of the year because the contribution of the external balance to the growth of GNP may become slightly negative should the present expectations of a marked slowing down of exports and a strong revival of imports materialize. On the other hand, there is every reason to assume that the rapid growth of private consumption will continue. Wage increases are likely to accelerate: there were important bonus payments at the end of 1968 and the spring wage round is reported to have involved the highest increases ever recorded. The increase in farm income may, however, be less important than during the preceding two years when it was boosted by bumper harvests and substantial rises in government-controlled prices. The saving ratio should maintain its upward trend given the acceleration of wage increases and the high demand for residential construction. Weaker inventory accumulation up to the middle of the year is expected to be followed by a new upturn.

The vigorous growth of private consumption, the favourable profit situation, the labour shortage and the higher degree of capacity utilization should ensure a continuation of the present investment boom, provided that there are no serious constraints on the financing side. Unfilled orders for machinery (excluding ships) have risen continuously; in February they were 20 per cent higher than a year earlier and were equivalent to 8.8 months' deliveries. However, six out of seven investment intention surveys, carried out between February and April, point to a marked slowing down of the rate of expansion of investment activity in FY 1969, mainly because of the cautious estimates advanced for the second half of the fiscal year. Indeed, three surveys indicate an absolute drop of investment in the September-March period which is, however, not likely to materialize; such underestimates would seem to be rather a regular feature of this type of enquiry. It should also be noted that the latest surveys present on average a stronger

1 Seasonally adjusted by the Secretariat.

picture of investment intentions than those conducted in February. Furthermore, smaller enterprises which are not covered by the surveys are reported to have stepped up their investment programmes at a faster pace than last year. On the other hand, if the very marked flattening of exports officially foreseen were to materialize, this might, later on, affect the trend of productive investments unfavourably.

While there remain important uncertainties about the prospective trend of private productive investment during the current fiscal year, recent developments in foreign trade indicate that the level of exports, officially forecast in January, was very much on the low side and that of imports rather on the high side. In April-May, exports (balance of payments basis, seasonnally adjusted) were already running 14 per cent above the FY 1968 average and exceeded the predicted level for the FY 1969 by 1.6 percentage points. Thus, even with a sharp slowing down in the remainder of the year, an export increase of some 17 per cent could easily be obtained in the fiscal year 1969. (This rate corresponds to a rise of more than 20 per cent in the calendar year—cf. Table 1 above). In the latest three-month period covered by customs statistics (March-May), exports, seasonally adjusted, exceeded the previous three months' level by as much as 10 per cent[1]. On the other hand, imports have so far shown no clear signs of revival. Indeed, in April and May imports (balance of payments basis) exceeded the actual FY 1968 average by some 1 per cent only. Since the continued slack of imports can partly be explained by the downward stock cycle which is expected to reverse itself in the coming months a vigorous revival of imports may not be delayed for long. A strengthening of imports is also suggested by recent import licence data. However, to attain the officially forecast rate of growth of 15.6 per cent in FY 1969, imports would have to rise at an annual rate of about 35 per cent during the following ten months.

Given the fact that the current balance of payments surplus was running at a seasonally adjusted annual rate of some $3 billion in the first two months of the present fiscal year, there is little chance that for the year as a whole the surplus could fall below the $2 billion mark. Furthermore, the high deficit on long-term capital ($850 million) officially forecast in January may not materialise. In FY 1968, long-term capital transactions produced a deficit of $85 million only; and in April-June there was, as in the January-March period, a not insignificant surplus. The outflow of Japanese capital should accelerate, but foreign demand for Japanese securities has remained buoyant until recently. Much will depend on developments in the interna-

1 Seasonally adjusted by the Secretariat. According to a recent official forecast (June 1969) the increase of exports in FY is put at 15.4 per cent; this figure corresponds approximately to a 20 per cent rise between calendar years 1968 and 1969.

tional money and capital markets and on the readiness of the banking system and the monetary authorities to meet the growing credit demand and to keep interest rates in line with, or below the rates ruling abroad.

IV POLICY ISSUES AND CONCLUSIONS

The present Japanese boom has already lasted longer than any other since the war and there are no clear signs as yet of any important weakening. The balance of payments difficulties which had emerged in 1967 after 1½ year's fast growth of activity disappeared in the space of a few months, during which the business upswing continued virtually unabated. Indeed, during the balance of payments recovery in 1968, the rate of growth of GNP was the highest since 1961. Both the current and the long-term capital balances have, until recently, shown a continuous rapid improvement. Thus the surplus on basic account was running at record levels through May 1969 and, although expected to decine, is likely to remain substantial over the year ahead.

This spectacular strengthening of the external position under continued boom conditions has taken many Japanese and outside observers by surprise. It had been a regular feature of Japanese post-war history that the economy had, every two to three years, to be submitted to a cooling-off period after the expansion had run into balance of payments difficulties. It was generally felt that the balance of payments would remain in a rather delicate situation so long as the economy was growing between two and three times as fast as those of other industrialized countries. This impression had been supported by the persistently low level of external reserves.

The main concern of the present Survey has been to examine to what extent the recent atypical behaviour of the current balance of payments may mark a lasting departure from the previous pattern of developments—a question of basic importance for the future course of policy and for Japan's international economic relations. Naturally, great caution is required in any assessment of balance of payments prospects; and it is only 1½ years ago that Japan was in an apparently serious external payments situation. Nevertheless, the evidence seems rather strong that the improvement of the external position is largely of a more permanent character. Signs of an underlying improvement of the current account had already appeared in earlier years. And the analysis undertaken in this report suggests that the beginning of this trend could be traced as far back as 1964.

Special factors have played a role in producing the sharp swing during the last balance of payments cycle; but they seem to have been rather more

important in boosting the deficit of 1967 than in inflating the surplus of 1968 and early 1969. A sharp acceleration of exports has been the main reason for the recent considerable increase of the current surplus. But merchandise exports had clearly fallen below their previous trend in 1967 (largely because of weak world demand) and have only now returned to it. Imports were pushed up in 1967 because of a number of exceptional circumstances, but their edisapperance can only explain in part the weakening of imports in 1968. Lower demand for basic agricultural products was one of the special factors. But, in fact, last year's sharp drop of imports below their regression lines (see Diagram 2) can, to a large extent, be attributed to structural changes in production towards less import-dependent branches of industry. Under the assumption that the structural shifts of the pattern of industrial production will not be reversed and will rather continue (though at a slower pace than hitherto) the level of imports of raw materials and semi-manufactures—which represent 70 per cent of total imports—appears to have been permanently reduced below the former trend since 1967; and the marginal propensity to import with respect to changes in the level of production may not recover to its previous rate because of the higher weight of less material-intensive industries. On the other hand, it is possible that other developments may have an opposite effect in the future—for instance, an acceleration of imports of "high-income" food or of non-food finished consumers' foods (the latter amount at present to only 2.3 per cent of total imports).

During the first five months of 1969, imports have remained practically stable after a short-lived recovery from the depressed first half 1968 level; this was probably due to some extent to stock adjustments. On the other hand, the vigorous growth of exports has, to date, continued. Some reversal of these trends is expected during the remainder of this year, with imports recovering strongly and export growth slowing down in line with expected developments in foreign markets. However, even if exports showed no further rise between May and December, and imports advanced at an annual rate of over 30 per cent (which look rather like extreme assumptions), the current account for 1969 as a whole would still show a surplus of over $ 2 billion. Moreover, despite the continuing considerable outflow of Japanese capital, the long-term capital account has shown a small surplus so far this year, due mainly to large purchases of Japanese securities by foreigners. It seems, therefore, likely that the basic surplus will be substantial this year.

The strengthening of the Japanese external position has a number of positive aspects. In the likely absence of "boom deficits" and with a more comfortable level of external reserves, two major constraints on demand management policies may have been removed for the foreseeable future. There may no longer be need to apply braking measures before internal demand has started endangering internal financial stability. Furthermore,

the fulfilment of Japan's foreign-aid commitments should be eased; and this could eventually lead to an improvement of aid programmes. On the other hand, the speed of the switch from a potential deficit to a large basic surplus and the orders of magnitude involved by this change have created new problems. The current surplus in 1969 is likely to amount to nearly 1.5 per cent of GNP at current prices, which is approximately double the outflow of long-term Japanese capital in 1968. Given the recent strong foreign demand for Japanese securities and the likelihood of increased foreign direct investment in Japan, it may be difficult to reduce the basic account surplus to a size which would easily be offset by short-term capital exports.

The prospects, therefore, are that Japan may remain an important surplus country for some time to come, though the size of the surplus may depend significantly on relative cyclical conditions at home and in the major foreign markets. The present level of official reserves is still relatively low, if compared with that of several Member countries. But the authorities are, apparently, not aiming at any particular reserve target and wish to keep the rate of increase of reserves within reasonable limits. In fact, the official medium-term balance of payments aims are for a current account surplus, offset for the most part by long-term capital exports (mainly to developing countries) and allowing for a rather gradual increase of reserves. The five-year programme, prepared in 1966, had set a target of $ 1.4 billion for the current surplus, to be attained by 1971. But all long-term projections for the Japanese economy are at present being re-examined by official bodies.

From the point of view of international equilibrium, it seems desirable in present circumstances to sustain a high rate of growth of the economy and to continue efforts to discourage borrowing from abroad. But, given the recent strength of domestic demand, the maintenance, up to now, of cautious demand management policies seems justified. Although there are no signs of domestic overheating, at present or for the immediate future, the authorities attach particular importance to the possible effects of the recent acceleration of wage increases. But they also intend to keep policy flexible. Indeed, if the official export forecasts were to materialize (implying a change from a 30 per cent annual rate of growth to an almost flat trend of exports between mid-1969 and early 1970) the change might well have a depressive effect—particularly on the private investment boom, which is entering its fourth consecutive year. If such a situation were to arise later on, it would probably call for a reconsideration of demand management policy. It should, in any case, be noted that the growth potential of the Japanese economy has been persistently underestimated in recent years. The progressive acceleration of growth of GNP from 10 per cent (in volume) in 1966 to 14.4 per cent in 1968 was associated with a decline of the GNP price deflator from

4.5 per cent to 3.7 per cent[1]. It is also interesting to note that the rise of consumer prices in 1968 (5.5 per cent) was smaller than that registered during the "recession year" 1965 (6.6 per cent)[2] and that by April 1969, the year-over-year advance was down to 4.7 per cent. Furthermore, the recent faster increase of wholesale prices (by 1.8 per cent between May 1968 and 1969) is almost fully attributable to price rises of food products, iron and steel and non-ferrous metals; the two latter components were heavily influenced by developments in overseas markets.

Nevertheless, the price problem has emerged as a principal policy issue since the balance of payments difficulties have been removed. The behaviour of main price indicators during the last three business cycles suggests that factors other than excessive demand have played the more important role in the persistent upward movement of prices. Among such factors are government policies in respect of agriculture and public services. The price rise in private services can largely be explained by the tendency for wage increases in industry to spread to the service sector. Prices of manufactured goods have, on the whole, shown a high degree of stability in recent years, thanks to the rapid increase in productivity which has largely kept pace with the progress of wages. It would appear, therefore, that the price problem is, to a large extent, of a structural nature which can best be coped with by policies designed to raise the level of productivity in low productivity sectors and to stimulate labour mobility, thereby keeping the economy growing at an optimum rate.

The Japanese authorities are seeking progressively to fulfil their commitments for the adoption of more liberal policies concerning imports, current invisible transactions and capital exports. Since, if present trends continue, a large surplus on Japan's balance of payments may remain even though fast growth in the economy is maintained, further progress in liberalizing current external transactions and capital exports is highly desirable from the international point of view. A more liberal import policy would also help to dampen price pressures and speed up the shift of labour from low to high productivity sectors—a shift necessary to close the important gap in living standards which still exists between Japan and other advanced industrialized nations. The present strong domestic expansion should make it easier for the Japanese authorities to overcome the social problems that have to be taken into account when accelerating the movement towards the removal of the remaining restrictions on imports.

1 The official forecast for the fiscal year 1968 foresaw GNP advancing by 7.6 per cent and the deflator by 4.2 per cent.

2 This high rate was partly due to sharp increases in prices of agricultural products and of public services.

STATISTICAL ANNEX

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Table A **Gross National Product and Expenditure**

Billion Yen current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure	8 823	10 106	11 747	13 769	15 945	17 940	20 352	23 162	26 666
Government current expenditure	1 382	1 607	1 864	2 200	2 554	2 949	3 329	3 734	4 280
Gross fixed asset formation	4 682	6 370	7 136	7 875	9 404	9 767	11 344	13 896	17 352
Change in stocks	551	1 382	459	884	1 083	771	1 034	2 252	2 353
NATIONAL EXPENDITURE	15 438	19 465	21 206	24 728	28 986	31 427	36 059	43 044	50 651
Exports of goods and services	1 774	1 860	2 142	2 349	2 889	3 563	4 165	4 468	5 527
Less: Imports of goods and services	1 713	2 199	2 148	2 613	3 036	3 197	3 666	4 473	5 086
GROSS NATIONAL PRODUCT AT MARKET PRICES	15 499	19 126	21 199	24 464	28 838	31 793	36 557	43 039	51 092
Less: Net indirect taxes	1 312	1 566	1 677	1 872	2 083	2 252	2 496	2 853	3 291
Statistical discrepancy	219	—367	238	164	—490	—90	—226	—161	— 874
GROSS NATIONAL PRODUCT AT FACTOR COST	14 406	17 193	19 761	22 756	26 265	29 451	33 835	40 025	46 927

Source : Annual Report on National Income Statistics, Economic Planning Agency (EPA).

Table B **Gross National Product and Expenditure**
Billion Yen 1965 prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure	11 743	12 753	13 792	15 342	17 045	17 939	19 400	21 254	23 244
Government current expenditure	2 094	2 222	2 409	2 620	2 775	2 943	3 104	3 273	3 499
Gross fixed asset formation	5 225	6 700	7 422	8 159	9 551	9 766	10 919	12 836	15 783
Private	3 853	5 059	5 320	5 744	6 973	6 895	7 628	9 410	11 860
Residential construction	811	899	1 020	1 216	1 539	1 810	1 963	2 285	2 836
Government	1 372	1 641	2 102	2 414	2 578	2 870	3 291	3 426	3 922
Change in stocks	559	1 359	380	856	1 062	700	945	2 048	2 157
NATIONAL EXPENDITURE	19 621	23 035	24 183	26 977	30 433	31 348	34 368	39 411	44 682
Exports of goods and services	1 799	1 924	2 244	2 410	2 908	3 563	4 114	4 374	5 359
Less: Imports of goods and services	1 720	2 193	2 199	2 601	2 981	3 198	3 582	4 383	4 944
GROSS NATIONAL PRODUCT AT MARKET PRICES	19 699	22 766	24 228	26 785	30 361	31 714	34 900	39 403	45 096

Source : Annual Report on National Income Statistics, EPA.

Table C **Origin of Gross Domestic Product at Market Prices**
Fiscal years (April-March)
Billion Yen current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Agriculture, forestry and fishing	2 173	2 410	2 582	2 639	2 886	3 179	3 509	4 277	
Mining and quarrying	266	269	295	295	333	368	416	462	
Manufacturing	5 651	6 892	7 453	9 102	9 985	10 676	12 653	15 242	
Construction	990	1 233	1 399	1 637	1 912	2 154	2 585	3 136	
Electricity, gas and water	383	488	554	648	728	815	913	988	
Transportation and communication	1 424	1 713	1 899	2 257	2 505	2 773	3 280	3 876	
Wholesale and retail trade	2 303	2 799	3 364	4 295	4 948	5 293	3 670	7 762	
Banking and insurance	685	833	1 011	1 143	1 284	1 485	1 678	1 969	
Public administration	511	607	708	838	978	1 094	1 203	1 356	
Other services	2 550	3 057	3 602	4 270	5 093	5 982	6 814	7 805	
Adjustment	—482	—598	—741	—846	—972	—1 091	—1 219	—1 400	
Total	16 454	19 703	22 126	26 278	29 659	32 728	38 203	45 474	

Source : Annual Report on National Income Statistics EPA.

Table D **Gross Domestic Fixed Asset Formation**
Billion Yen current prices
Fiscal Years (April-March)

	1960	1961	1962	1963	1964	1965	1966	1967
Total gross domestic fixed asset formation	5 048	6 688	7 267	8 291	9 612	9 916	11 997	14 766
Residential construction	706	886	1 039	1 345	1 676	2 022	2 343	2 987
Other construction	2 030	2 787	2 981	3 342	3 742	3 704	4 687	5 395
Machinery and equipment	1 932	2 528	2 721	3 158	3 689	3 686	4 367	5 630
Others	380	487	526	446	505	504	600	754
Agriculture, forestry and fishing	299	391	385	450	471	544	634	778
Mining and quarrying	66	128	98	104	139	120	144	155
Manufacturing	1 679	2 195	1 858	2 084	2 320	1 932	2 311	3 550
Construction	156	256	295	316	329	368	510	713
Electricity, gas and water	442	506	551	574	556	684	752	743
Transport and communication	545	746	846	978	1 071	1 264	1 480	1 664
Dwellings	710	885	1 078	1 315	1 608	2 031	2 295	2 912
Others	1 151	1 582	2 156	2 470	3 119	2 974	3 871	4 252
Central government	375	462	584	670	764	887	1 008	1 087
Other government	381	495	649	690	805	888	1 054	1 192
Government enterprises	464	684	857	1 008	1 007	1 245	1 461	1 689

Source : Annual Report on National Income Statistics, EPA

Table E **Income and Expenditure of Households and Private Non-profit Institutions**

Billion Yen, current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Compensation of employees	6 435	7 625	9 091	10 682	12 349	14 333	16 459	19 026	22 235
Wages and salaries									
Employers' contribution to Social Security									
Income from property and entrepreneurship	4 613	5 406	6 061	6 978	7 857	8 763	9 780	11 417	13 069
Income from unincorporated enterprise	3 393	3 904	4 278	4 900	5 413	5 972	6 582	7 770	8 929
Interests, rents and dividends[1]	1 220	1 502	1 783	2 078	2 444	2 791	3 198	3 647	4 140
Current transfer from government	585	666	796	974	1 163	1 414	1 637	1 901	2 193
Current transfer from private corporations	24	28	30	35	39	43	47	59	67
Current transfer from the rest of the world	22	23	23	24	26	22	23	24	25
INCOME OF HOUSEHOLDS AND NON-PROFIT INSTITUTIONS	11 679	13 749	16 001	18 692	21 434	24 576	27 945	32 428	37 589
Less: Direct taxes and charges	446	573	745	905	1 096	1 280	1 433	1 644	1 994
DISPOSABLE INCOME	11 233	13 176	15 256	17 787	20 338	23 296	26 512	30 784	35 595
Less : Current transfer to government	544	667	815	987	1 168	1 440	1 720	2 027	2 351
Less : Current transfer to the rest of the world	2	3	4	10	22	20	26	33	36
Less : Consumption expenditure	8 823	10 106	11 747	13 769	15 945	17 940	20 352	23 162	26 666
Food	3 807	4 189	4 718	5 413	6 048	6 782	7 537	8 406	9 402
Clothing	1 208	1 380	1 616	1 823	2 025	2 209	2 419	2 715	3 114
Rent	832	980	1 147	1 324	1 541	1 794	2 072	2 330	2 556
Other housing	556	707	773	986	1 290	1 333	1 553	1 901	2 361
Others	2 420	2 850	3 493	4 223	5 041	5 822	6 771	7 810	9 233
Saving of household and private non-profit institutions	1 864	2 402	2 691	3 022	3 202	3 897	4 415	5 562	6 543
(Per cent of disposable income)	(16.6)	(18.2)	(17.6)	(17.0)	(15.7)	(16.7)	(16.7)	(18.1)	(18.4)

1 Less interest on consumer debt.

Source : Annual Report on National Income Statistics, EPA.

Table F **Production, Employment and Other Business Indicators**
Seasonally adjusted
1963 = 100

	1965	1966	1967	1968					1969
				year	1 qtr.	2 qtr.	3 qtr.	4 qtr.	1 qtr.
Industrial production, total	120.2	135.9	162.0	190.3	177.3	186.5	194.1	202.8	204.4
Mining	99.5	105.3	103.8	104.8	104.0	103.7	106.7	105.3	104.6
Manufacturing	120.6	136.8	164.1	193.8	179.9	189.7	197.5	208.7	208.2
Electricity and gas	120.5	132.3	150.2	166.5	162.4	161.0	169.5	173.0	178.1
Employment[1]	107.4	107.8	110.7	113.2	112.1	112.8	113.5	114.6	115.3
Hours worked[1]	97.6	98.2	96.6	98.0	97.5	98.3	97.8	98.0	96.4
Labour productivity index[2]	116.0	131.1	152.8	174.6	168.2	168.6	175.3	186.4	194.1
Job vacancy/job seeker ratio[3]	0.64	0.73	1.0	1.12	1.11	1.08	1.12	1.17	1.21
Operating ratio[4]	100.0	106.5	115.4	119.0	117.6	117.5	120.1	120.9	120.6
Cost of non-residential construction starts	124.3	130.4	180.4	225.0	205.7	222.0	223.8	244.3	260.7
New private domestic orders for machinery, excluding ships	105.2	125.9	212.1	244.8	205.2	236.2	263.8	272.4	267.2

1 Regular workers in manu acturing only.
2 Output in manufacturing per man day.
3 Actual ratio.
4 1965 = 100.

Sources: Main Economic Indicators, OECD; Ministry of Labour; Ministry of International Trade and Industry; Japan Productivity Centre.

Table G **Labour Force**

Thousands

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Total population aged 15 yrs. and over	65 200	66 030	67 550	69 380	71 220	72 870	74 320	75 570	76 780
(percentage change from previous year)	(1.5)	(1.3)	(2.3)	(2.7)	(2.7)	(2.3)	(2.0)	(1.7)	(1.6)
Labour force	45 110	45 620	46 140	46 520	47 100	47 870	48 910	49 830	50 610
(percentage change from previous year)	(1.8)	(1.1)	(1.1)	(0.8)	(1.2)	(1.6)	(2.2)	(1.9)	(1.6)
Wholly unemployed	750	660	590	590	540	570	650	630	590
(in per cent of total labour force)	(1.7)	(1.4)	(1.3)	(1.3)	(1.1)	(1.2)	(1.3)	(1.3)	(1.2)
Employed	44 360	44 960	45 550	45 930	46 560	47 300	48 260	49 200	50 020
Self-employed and family workers[1]	21 840	21 320	20 750	20 370	20 000	19 600	19 410	18 630	
Employees[1]	22 730	23 790	24 960	25 780	26 690	27 830	29 020	31 260	
Agriculture, forestry and fishing	870	740	660	570	590	630	610	680	
Industry	8 420	8 960	9 500	9 800	10 020	10 210	10 380	11 120	
Construction	1 800	1 990	2 160	2 140	2 280	2 450	2 620	2 960	
Services	11 640	12 100	12 640	13 270	13 800	14 540	15 410	16 500	

1 Unrevised figures.

Source : Labour Force Survey, Prime Minister's Office.

Table H **Prices**
1965 = 100

	1960	1961	1962	1963	1964	1965	1966	1967	1968
GNP deflator total	78.7	84.0	87.5	91.3	95.0	100.2	104.7	109.2	113.3
Private consumption	75.1	79.2	84.1	89.1	93.5	100.0	104.9	109.0	114.7
Gross fixed investment	89.6	95.1	96.1	96.5	98.5	100.0	103.9	108.3	109.9
Consumer price index[1]	(74.0)	(77.9)	(83.2)	90.3	93.8	100.0	105.1	109.3	115.1
Agricultural products				85.8	88.2	100.0	105.3	111.9	120.6
Industrial goods				94.1	97.1	100.0	103.4	106.0	110.2
Services				87.6	92.7	100.0	107.5	112.6	119.0
Wholesale prices	97.9	98.9	97.3	99.0	99.2	100.0	102.4	104.3	105.1
Industrial products	100.9	100.9	98.9	100.0	100.0	100.0	101.7	102.9	103.2
Export prices	104.2	100.0	96.9	99.2	100.6	100.0	100.1	100.5	101.0
of which :									
Heavy industry products and chemicals	112.7	103.9	98.2	97.1	99.1	100.0	99.8	99.7	99.5
Import prices	100.9	101.2	98.2	101.0	102.6	100.0	102.1	101.0	101.5
of which :									
Raw materials and fuels	102.2	102.7	99.3	99.6	100.5	100.0	102.0	99.7	100.4
Building prices[2]	65.5	80.6	81.3	83.4	97.9	100.0	103.4	114.3	124.2
Land price index (all urban)[3]	39.2	55.6	68.0	78.8	90.1	100.0	105.3	115.9	132.9

1 Up to 1962 for cities with 50 000 or more inhabitants.
2 Residential only.
3 Average of March and September.

Sources : EPA, Prime Minister's Office, Bank of Japan, Ministry of Labour, Ministry of Construction, Japan Real Estate Institute.

Table I Central Government Budget
Billion Yen

	1964	1965	1966	1967 initial	1967 final	1968 initial	1968 final	1969 initial
General Account								
Total revenue	3 340	3 745	4 477	4 951	5 203	5 819	5 917	6 740
Tax and stamp revenue	2 969	3 029	3 344	3 805	4 095	4 698	4 938	5 738
Monopoly profit	159	169	185	161	170	232	242	484
Receipts from government enterprises and properties	15	17	17	16	16	3	3	
Miscellaneous revenues (including sales of government properties)	121	182	195	166	188	195	206	
Surplus carried over from previous year	76	88	5	2	2	52	52	27
Public bonds	—	259	730	800	731	640	478	490
Total expenditure	3 340	3 745	4 477	4 951	5 203	5 819	5 917	6 740
Social Security	444	544	631	721	740	816	833	947
Promotion of education and science	428	493	562	625	645	702	702	806
Pensions	162	171	195	218	220	254	254	268
Tax transfers to local authorities	637	716	829	898	973	1 092	1 166	1 333
National defence	281	305	345	381	387	422	422	483
Public works	644	740	884	996	1 018	1 066	1 066	1 202
Food control a/c	109	130	206	129	247	246	283	300
Others	635	646	825	983	973	1 221	1 191	1 401
The Financial Loan and Investment Programme[1]								
Welfare	423	535	694	795		899		1 048
Housing	181	226	324	382		441		532
Water, sewage, etc.	158	201	233	265		310		346
Agriculture and smaller industries	258	321	389	470		543		630
Roads, transportation and regional development	456	516	632	728		796		845
Key industries and export promotion	203	248	313	396		461		554
Total	1 340	1 621	2 027	2 388		2 699		3 077

1 Initial plans.
Source: Ministry of Finance, EPA.

Table J Interest Rates and Money Supply

	1964	1965	1966	1967				1968				1969
				1 qtr	2 qtr	3 qtr	year	1 qtr	2 qtr	3 qtr	year	1 qtr
Interest rates *(per cent, end of period)*												
Official discount rate	6.57	5.48	5.48	5.48	5.48	5.84	5.84	6.21	6.21	5.84	5.84	5.84
Call money	10.95	5.84	5.84	6.21	6.21	6.94	7.30	8.03	8.03	8.03	7.67	7.67
Average loans and discounts	7.99	7.61	7.37	7.32	7.29	7.29	7.35	7.49	7.52	7.43	7.38	7.36
Industrial bond yields, new issues	7.47	7.49	7.49	7.51	7.49	7.49	7.49	7.50	7.60	7.60	7.56	7.69
Outstanding			7.46	7.45	7.52	7.70	7.87	8.12	8.17	8.01	8.28	8.41
Share prices, 1953 = 100[2]	87.7	83.5	102.7	—	—	—	98.0	92.2	101.9	115.1	119.7	125.0
Money supply *(changes billion Yen)*												
Total[3]	2 855	3 872	4 128	208	798	1 132	4 575	72	1 313	820	5 056	281
of which due to:												
Foreign exchange transactions	—32	23	—37	—2	—12	—19	—42	—25	2	142	301	118
Other Treasury fund transactions	516	237	—49	—651	—50	—168	—52	—609	90	—314	93	—797
Security transactions	438	643	1 326	—8	411	14	1 247	—173	606	—236	1 213	—347
of which :												
Cash in circulation	257	277	325	—301	159	—71	525	—375	227	—184	481	—404
Near money	745	—119	1 104	—38	—51	234	1 128	—47	270	—2	1 305	66

1 Unconditional average.
2 Based on Tokyo Stock Exchange Stock Price average for the 1st section.
3 Including time and saving deposits.

Source : Economic Statistics Monthly, Bank of Japan.

Table K Borrowing and Lending

Billion Yen

	1965	1966	1967					1968					1969
			1 qtr	2 qtr	3 qtr	4 qtr	year	1 qtr	2 qtr	3 qtr	4 qtr	year	1 qtr
LENDING:													
By total private financial institutions	4 690	4 876	1 170	953	1 877	2 158	6 158	1 265	1 190	1 718	2 438	6 611	
of which : Commercial Banks[1]													
To : Local government	43	17	24	—17	—8	—9	—60	88	—49	26	17	82	80
Private	2 714	3 049	761	671	1 249	1 154	3 835	632	647	974	1 220	3 473	801
Business	2 657	2 911	720	650	1 199	1 100	3 669	585	603	898	1 120	3 206	732
Consumers	57	138	41	21	50	54	166	47	44	76	100	267	69
Other private financial institutions	1 933	1 810	385	349	636	1 013	2 383	545	592	718	1 201	3 056	
By Public Sector	882	1 027	195	327	166	440	1 128	342	347	218	597	1 507	
SECURITY ISSUES. NET:													
Bonds													
Public sector	1 055	1 940	25	291	478	1 204	1 998	197	116	401	1 243	1 957	
Bank	572	568	158	166	140	164	628	107	113	157	203	580	
Industry	484	556	103	144	167	196	611	53	177	223	211	663	
Shares	263	335	60	75	90	106	332	84	123	162	123	491	
TOTAL FINANCIAL SURPLUS OR DEFICIT OF NON-FINANCIAL SECTORS:													
Government	—903	—1 448	—414	—410	—19	—1 333	—1 340	398	—471	171	—1 478	—1 380	
Corporate business	—1 277	—1 418	—520	—622	—697	—858	—2 829	—840	—293	—801	—999	—2 911	
Personal	2 515	3 316	46	970	766	2 198	4 109	336	832	811	2 712	4 668	
Foreign	—335	—450	61	62	—50	—7	60	107	—68	—181	—234	—377	

1 Banking account only.

Source : Economic Statistics Monthly, Bank of Japan.

Table L **Foreign Trade by Area**
Monthly average US $ million

	1962	1963	1964	1965	1966	1967	1968
				Exports fob			
To: World	409.80	454.03	556.10	704.31	814.70	870.13	1080.97
OECD total	183.93	195.96	239.86	314.30	375.60	392.56	508.08
North America	128.07	137.25	169.31	227.02	272.15	276.90	373.23
EEC	22.70	27.64	30.43	40.40	49.59	45.54	57.22
EFTA	26.74	23.16	33.08	38.41	43.95	60.70	63.33
Others	6.42	7.91	7.04	8.46	9.91	9.42	14.31
Non OECD total	225.52	257.85	316.16	389.69	438.86	477.43	572.59
East bloc	17.05	20.14	30.89	38.09	49.03	43.07	46.52
Other developed countries	19.61	24.41	34.62	45.06	43.16	51.44	57.91
Developing countries	188.86	213.32	250.65	306.53	346.67	382.93	468.17
of which: Far East		123.55	138.22	170.38	200.94	222.70	280.83
				Imports cif			
From: World	469.57	561.54	661.46	680.75	793.56	971.92	1082.27
OECD total	222.32	255.74	293.96	287.49	330.69	419.22	457.02
North America	172.00	199.78	226.28	226.91	259.10	320.49	349.06
EEC	28.70	33.01	37.01	32.64	37.22	54.60	61.40
EFTA	20.43	21.75	28.25	25.20	30.70	38.73	41.05
Others	1.19	1.20	2.42	2.74	3.67	5.40	5.52
Non OECD total	246.98	305.80	367.51	393.26	462.87	552.62	625.13
East bloc	17.40	21.25	34.51	41.73	54.60	69.28	66.38
Other developed countries	49.39	58.76	66.70	62.74	79.83	102.08	119.78
Developing countries	180.19	225.80	266.31	288.80	328.44	381.26	438.97
of which: Far East		97.18	105.05	112.56	130.54	146.31	161.43

Source: OECD Overall Trade by Countries.

Table M **Foreign Trade by Commodities**
Million US dollars

	1963	1964	1965	1966	1967	1968
			Exports fob			
SITC Sections:						
0 Food and live animals	279.8	312.5	332.7	368.9	361.2	418.0
1 Beverages and tobacco	9.5	10.5	11.1	13.7	11.2	13.7
2 Crude materials, inedible, except fuels	163.6	185.8	223.2	229.4	210.3	243.8
3 Mineral fuels, lubricants and related materials	16.5	23.6	30.0	31.7	33.0	31.3
4 Animal and vegetable oils and fats	31.2	29.1	28.6	23.7	19.3	12.2
5 Chemicals	315.0	383.5	546.9	669.4	684.3	805.2
6 Manufactured goods classified chiefly by materials	2 292.1	2 737.8	3 421.6	3 662.6	3 643.5	4 523.4
7 Machinery and transport equipment	1 473.7	1 957.8	2 642.7	3 307.5	3 817.0	4 924.4
8 Miscellaneous manufactured articles	834.7	989.4	1 166.8	1 406.6	1 613.4	1 931.3
9 Others		43.3	48.1	62.9	48.4	68.3
Total	5 416.2	6 673.4	8 451.8	9 776.4	10 441.6	12 971.7
			Imports cif			
0 Food and live animals	1 048.0	1 327.2	1 416.0	1 601.6	1 732.9	1 812.0
1 Beverages and tobacco	40.1	59.3	54.0	74.7	71.8	66.7
2 Crude materials, inedible, except fuels	2 748.0	3 050.5	3 167.3	3 813.4	4 442.5	4 815.9
3 Mineral fuels, lubricants and related materials	1 211.3	1 407.4	1 626.0	1 803.7	2 239.5	2 675.0
4 Animal and vegetable oils and fats	39.7	47.3	53.6	59.8	50.6	49.6
5 Chemicals	369.0	458.1	408.2	497.0	610.6	689.8
6 Manufactured goods classified chiefly by materials	337.8	594.2	550.7	690.0	1 258.1	1 290.9
7 Machinery and transport equipment	799.6	824.6	711.3	762.9	971.5	1 226.4
8 Miscellaneous manufactured articles	127.9	157.6	164.7	193.3	248.6	309.9
9 Others	1.3	11.3	17.2	26.3	37.0	51.0
Total	6 722.9	7 937.5	8 169.0	9 522.7	11 163.1	12 987.2

Source: OECD Commodity Trade.

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